



ESA/REG/001,REV.6
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REGULATIONS OF THE EUROPEAN SPACE AGENCY

ESA Contracting Regulations and related Implementing Instructions

The purpose of the attached Contracting Regulations and their Annexes (Implementing Instructions) is to regulate the Tender Process (as defined therein) for the execution of the European Space Agency (ESA) activities and programmes, in accordance with the ESA industrial policy objectives set out in Article VII of its Convention and Annex V thereto.

In accordance with Article 48 thereto, the Contracting Regulations may be amended by the ESA Council on the recommendation of the Industrial Policy Committee and of the Administrative and Finance Committee.

The Contracting Regulations have been approved by the ESA Council at its meeting on 23-24 October 2024 (ESA/C(2024)115). They enter into force on 1 January 2025, when they replace ESA/REG/001,REV.5 (ESA Procurement Regulations and related Implementing Instructions).

European Space Agency

Contracting Regulations

PREAMBLE

Council,

Recognising that the integrity and predictability of the European Space Agency's tendering system is core to the efficient and effective management of public resources placed at the Agency's disposal by the Member States, the Associate Members and the Cooperating States and the performance of their respective Economic Operators;

Recalling the importance of carrying out tendering in a transparent, impartial and non-discriminatory manner, and of avoiding conflicts of interest;

Recognising the importance of using and encouraging the use of electronic means for tendering;

AGREES that the placing of Contracts and Cooperative Agreements for the carrying out of the Agency's activities and programmes shall be conducted in accordance with the rules contained in this document.

PART I

GENERAL PRINCIPLES

ARTICLE 1 – BODIES

1. The competent bodies in contract and tendering matters of the Agency are:
 - a) Council, referred to in Article XI of the Convention for the Establishment of a European Space Agency (hereinafter referred to as "the Convention");
 - b) the Industrial Policy Committee, established pursuant to Article XI.8(b) of the Convention and carrying out its activities according to its Terms of Reference (ESA/C/CLX/Res.1, rev. 1 (Final) attached to ESA/C(2014)29), as may be amended from time to time;
 - c) the Administrative and Finance Committee, established pursuant to Article XI.8(b) of the Convention and carrying out its activities according to its Terms of Reference (ESA/C(2009)72), as may be amended from time to time;
 - d) the Audit Commission, carrying out its activities pursuant to Article VI of Annex II to the Convention, and
 - e) the Director General, referred to in Article XII of the Convention, assisted by the staff of the Agency acting in accordance with the powers delegated to them by the Director General.
2. In order to guarantee the proper conduct of Tender Actions in a transparent and impartial manner and to avoid conflict of interest with regard to third parties, in particular Economic Operators and with the Initiating Services within the Agency, the Director General shall take all the necessary measures to ensure the independence of the Department in charge of contracts and its staff as regards the performance of the functions which, by virtue of their appointment, are assigned to them under these Regulations and their Implementing Instructions.

ARTICLE 2 – APPLICABILITY

1. These Regulations govern the Tender Process for the placing of all Contracts and Cooperative Agreements, with the exception of Purchase Orders.
2. Articles 3, paragraph 6; 4, paragraph 2.f); 12, paragraph 1.a); 12, paragraph 8, second sentence; 14; 17, paragraph 1.p); 19; 31 and 45, paragraph 5 of these Regulations shall not apply to General Procurement Contracts.
3. Articles 14 and 31 of these Regulations shall not apply to:
 - a) the implementation of arrangements by which the Agency delivers goods or renders services to third parties, including public bodies, when such arrangements are not the result of an international agreement, and

- b) the implementation of international agreements entered into by the Agency with its Member States or public bodies (including international organisations) that are fully funding the activities to be procured by the Agency.
- 4. These Regulations shall not apply to Agency staff contracts.
 - 5. These Regulations shall not apply to Tender Actions initiated by the Agency prior to the entry into force of these revised Regulations as established under Article 49 of these Regulations.

ARTICLE 3 – PRINCIPLES

- 1. Provisions in these Regulations and in any instructions concerning the placing of Contracts and Cooperative Agreements shall always be interpreted so as to ensure:
 - a) transparency and fair and equitable treatment of all Economic Operators;
 - b) that the participation of a Tendering Body does not cause any distortion of competition in relation to private Economic Operators;
 - c) the most economic and effective employment of the Agency's resources;
 - d) the implementation of the defined industrial policy and where applicable, with the exception of General Procurement Contracts, to guarantee a distribution of work among Member States which is consistent with the provisions of Article VII of and Annex V to the Convention.
- 2. No contract action shall be taken until approval has been obtained in accordance with the applicable Rules and Regulations of the Agency.
- 3. The resulting Contracts shall be subject to (i) the Agency's General Clauses and Conditions for ESA Contracts (ESA/REG/002) in their latest applicable version, except in so far as such clauses and conditions are explicitly waived, amended or replaced by special clauses and conditions introduced in the Contract or in annexes forming an integral part thereof, or to (ii) EXPRO (+) Contracts. The resulting Cooperative Agreements shall be subject to the conditions published in the applicable Call for Proposals without Procurement, on the basis of principles agreed by the Industrial Policy Committee.
- 4. The Contract price, or (co-)funding in a Cooperative Agreement, shall be expressed in euros, unless otherwise stated in the Solicitation Documents.
- 5. At the discretion of the Director General, industrial cost and rates audits may be carried out by the Agency at any time prior or subsequent to the award of a Contract or Cooperative Agreement. The conditions under which these audits shall be carried out, the exceptions, frequency and validity period during which the rates shall be binding, shall be established by means of an Implementing Instruction (Annex I to these Regulations).
- 6. At the discretion of the Director General, audits may be carried out at any time to check whether an Economic Operator complies with the requirements set out in Article II.3 of

Annex V to the Convention. The conditions under which these audits shall be carried out shall be established by means of an Implementing Instruction (Annex II to these Regulations).

PART II

METHODS

ARTICLE 4 – COMPETITIVE TENDERING

1. Open competitive tender shall be the normal procedure for the placing of Contracts.
2. Restricted competitive tender may be applied:
 - a) for the Procurement of goods or services the special nature of which limits the capacity to procure them from certain Economic Operators only;
 - b) for those General Procurements where the time and cost required to examine and evaluate a large number of tenders would be disproportionate to the value of the goods or services to be procured;
 - c) for the Procurement of goods or services by the Agency in the framework of international agreements entered into by the Agency with its Member States or public bodies (including international organisations), if expressly provided for in these agreements;
 - d) where the goods or services are procured by the Agency by means of a Framework Agreement as defined under Article 8, paragraph 1 of these Regulations;
 - e) for goods or services whose supply and performance must be accompanied, respectively, by special security measures in accordance with the Agency's Security Regulations (ESA/REG/004) in their latest applicable version, or when the protection of the essential security interest of the Agency requires;
 - f) pursuant to a decision, guideline or policy of the Industrial Policy Committee in application of Article 3, paragraph 1 d) of these Regulations.
3. Wherever possible for restricted competitive tender, at least 3 (three) Economic Operators shall be invited to tender.
4. The reason for applying restricted competitive tender and the reason for the choice of the Economic Operators invited to submit a tender shall be recorded in the Contract File.

ARTICLE 5 – NON-COMPETITIVE TENDERING

1. Competitive tendering may be waived in one or more of the following cases:
 - a) if only one source for the goods or services exists;
 - b) in case of extreme urgency resulting from compelling operational needs;
 - c) where, for scientific, technical or economic reasons, Contracts for additional or supplementary goods or services cannot be separated from those of a previous Contract;

- d) if the goods or services required are subject to intellectual property rights and can, as a consequence, only be procured from one particular source;
 - e) if the expenditure involved does not exceed 150,000 (one hundred and fifty thousand) euros;
 - f) pursuant to a decision, guideline or policy of the Industrial Policy Committee in application of Article 3, paragraph 1 d) of these Regulations.
- 2. Where, following a competitive tender, only one tender is admitted, the Invitation to Tender shall be re-issued, unless it is considered that such re-issuing would be unlikely to obtain better results or would not be feasible due to extreme urgency resulting from compelling operational needs. Should such a situation arise, competitive tendering may be waived.
 - 3. Where the goods or services are procured by the Agency in the framework of international agreements entered into by the Agency with its Member States or public bodies (including international organisations), competitive tendering may be waived if expressly provided for in those agreements.
 - 4. Article 25 of these Regulations shall not apply when competitive tendering is waived.

ARTICLE 6 –TWO-STAGE TENDERING

- 1. In order to obtain the most satisfactory solution to its Procurement needs, the Agency may engage in Procurement by means of two-stage tendering:
 - a) when it considers that it is not feasible to initially formulate detailed specifications for the goods or, in the case of services, to identify their characteristics, and where inputs from Economic Operators are needed to detail the specifications for the goods or, in the case of services, to identify their characteristics (“Competitive Dialogue”);
 - b) when it engages in pre-qualification proceedings, as described in the Invitation to Tender, with a view to identifying Economic Operators that are qualified, and
 - c) where the Industrial Policy Committee has approved a two-stage tendering approach in accordance with Article 14 of these Regulations.
- 2. In the first stage of tendering, the Agency shall set out its needs and requirements in its Solicitation Documents. Unless otherwise specified, the price shall not be required at this first stage.

The criteria for allowing the Economic Operators to participate in the second stage of the process shall be objective and non-discriminatory and clearly spelled out in the Solicitation Documents.

Where Competitive Dialogue with the Tenderers is intended to take place during this first stage, this shall be clearly spelled out in the Solicitation Documents.

The Agency shall ensure equality of treatment among all Tenderers and confidentiality of the solutions proposed or of other information communicated by the participants in the Competitive Dialogue, unless they expressly consent to its disclosure.

If indicated in the Invitation to Tender, the Agency may provide for this procedure to take place in successive steps in order to reduce the number of solutions to be discussed during the first stage. This selection shall be achieved through the application of the selection criteria established in the Invitation to Tender and based on Article 12, paragraph 2 of these Regulations.

3. In the second stage of tendering, the Agency shall invite those Economic Operators that have been retained to submit a tender in response to a single set of specifications. In formulating those specifications, the Agency may not modify the subject matter of the Procurement, but may delete or modify:
 - a) any aspect, originally set forth for the first stage in the Solicitation Documents of the technical, quality or performance characteristics of the goods or services to be procured, and add any new characteristics that conform to the requirements of these Regulations, and
 - b) any evaluation criterion originally set forth in the Solicitation Documents for the first stage, and may add any new criterion that conforms to the requirements of these Regulations, only to the extent that deletion, modification or addition is required as a result of changes made in the technical, quality or performance characteristics of the subject matter of the Procurement.

If the Agency, rather than issuing a new set of documents for the second stage, re-uses the Solicitation Documents used for the first stage, any such deletion, modification or addition shall be clearly identified and communicated to the retained Economic Operators in the invitation to submit final tenders.

The issuing, receipt and evaluation procedure for the second stage shall be done in accordance with the applicable provisions of these Regulations.

4. The modalities for a two-stage tendering process shall be further detailed in a dedicated procedure for the relevant Procurement action to be attached to the Solicitation Documents. Any such procedure shall in all cases respect the principles set out under Article 3, paragraph 1 of these Regulations.

ARTICLE 7 – CONTESTS

1. In cases where the Agency seeks to encourage innovative solutions, it may launch a Contest with the possibility of rewarding the winning Economic Operator(s) with a prize, either in the form of a financial contribution or a contribution in-kind and in addition, at the discretion of the Agency, a Contract or a Cooperative Agreement.
2. Contests may be launched as an open competitive tender, or as a fixed Call for Proposals without Procurement, with the adaptations set out in this Article.

3. Advertisement of Contests shall be carried out using the Agency's electronic tool dedicated to tendering and, provided that this does not create discrimination among the Economic Operators, on other media.
4. A jury shall be appointed by the Appointing Authority and, subject to the obligations set out in Articles 15 and 16, paragraphs 6 and 7 of these Regulations, shall select the winning Tenderer(s) in accordance with the principles set out in Article 3 of these Regulations. In derogation from Article 16, paragraph 2 of these Regulations, the members of the jury may be persons external to the Agency. The Agency may decide to publish their names.
5. By derogation from Article 17 of these Regulations, the announcement of the Contest shall specify, as a minimum:
 - a) the exclusion criteria set out in Article 12 of these Regulations;
 - b) any specific eligibility criteria;
 - c) the evaluation criteria set out in Article 18 of these Regulations;
 - d) the firm and fixed amount of the financial contribution or the in-kind contribution which would be awarded as prize;
 - e) the model Contract or Cooperative Agreement to be placed with the winner(s) together with an indication of the available budget should the Agency decide to award a Contract or Cooperative Agreement, and
 - f) the publicity obligations of the winner(s).
6. The awarding of the prize shall not be linked to the costs incurred by the winning Tenderer.
7. Negotiation with the winner(s) may take place before the signature of the Contract or Cooperative Agreement in accordance with the provisions of Article 29 of these Regulations.
8. Should the winning Tenderer(s) refuse to enter into Negotiations for the award of the Contract or Cooperative Agreement or should the Negotiations be deemed by the Agency to have failed, the winning Tenderer(s) shall forfeit their right to the prize.

ARTICLE 8 – FRAMEWORK AGREEMENTS

1. A Framework Agreement is a single frame Contract, or the aggregation of several frame Contracts the Agency has entered into with one or several Contractors in order to ensure the delivery of goods or rendering of services for a given period and/or within a given financial limit of liability.
2. Where for any given Agency activity, frame Contracts between the Agency and several Contractors are to be entered into, such Contracts shall be concluded on identical terms.
3. Where frame Contracts between the Agency and several Contractors have been entered into, a simplified restricted competitive tender procedure shall be carried out

between all of the Contractors for each of the goods or services to be procured under the Framework Agreement.

4. Where a frame Contract between the Agency and a single Contractor has been entered into, competitive tendering shall be waived for each of the goods or services to be procured under the frame Contract.
5. Where frame Contracts between the Agency and several Contractors have been entered into and where, during the specified period of the Framework Agreement, one or several Contractors:
 - a) have declined on 3 (three) consecutive accounts to submit a tender in response to the request issued by the Agency; or
 - b) have been acquired by and/or merged with other Contractors forming part of the Framework Agreement the effect of which would impair competition, the economics of the Framework Agreement, or result in only one frame Contract remaining,the Agency, at its discretion, may either terminate the individual frame Contracts, or the Framework Agreement.
6. Unless required at the time of the Procurement Proposal, the duration of a Framework Agreement shall be limited to a maximum of 5 (five) years.
7. Where, for operational reasons, the duration of a Framework Agreement needs to be extended beyond the original authorised duration, this extension shall be subject to a Contract Proposal.

ARTICLE 9 – CALLS FOR PROPOSALS WITH PROCUREMENT

1. Calls for Proposals with Procurement may fall into one of the following categories:
 - a) 'Standard Call for Proposals' whereby the Agency invites Economic Operators to submit proposals at their own initiative, at any time, throughout the duration of the specific Call for Proposals. Each proposal received shall be opened and evaluated one by one following its receipt.
 - b) 'Fixed Call for Proposals' whereby the Agency invites Economic Operators to submit proposals by a defined closing date. The proposals received by the closing date shall be opened and evaluated together thereafter.
 - c) 'Open Call for Proposals' whereby the Agency invites Economic Operators to submit proposals at their own initiative, at any time throughout the duration of the Call for Proposals. The evaluation of the proposals that are received by the pre-determined deadlines shall take place at regular intervals in batches.
2. Calls for Proposals with Procurement shall be issued on a competitive basis if the Solicitation Documents indicate that a limited number of Contracts can be placed within the budget available.

3. The Initiating Service of the Agency shall nominate at least one representative for the Call for Proposals. The Head of the Department in charge of contracts shall nominate a Contracts Officer (together, “the Representatives for the Call”).
4. The Representatives for the Call shall be responsible for the preparation and publication of the Call for Proposals, according to Articles 16, paragraphs 6 and 7; Article 17, paragraphs 2, 3 and 5, Article 18, paragraph 3 a) and c), and Article 26 of these Regulations *mutatis mutandis*. For Negotiation meetings, Article 29, paragraph 16 of these Regulations is not applicable to Calls for Proposals with Procurement.
5. A Tender Evaluation Board, in conformity with Article 16 of these Regulations, shall be appointed for the evaluation of proposals and recommendation for the award of a Contract in accordance with Article 30 of these Regulations.
6. A Call for Proposals with Procurement shall be implemented through a Contract.

ARTICLE 10 – CALLS FOR PROPOSALS WITHOUT PROCUREMENT

1. This method shall apply:
 - a) when the principal purpose of the relationship is to carry out a public purpose of technology support instead of acquiring hardware, software, technology, or services for the direct benefit of the Agency;
 - b) when substantial cooperation is expected between the Agency and the Economic Operator when carrying out the contemplated activity, and
 - c) to an optional programme, when it has been foreseen in the corresponding Declaration or Implementing Rules.
2. Call for Proposals without Procurement may fall into one of the following categories:
 - a) ‘Standard Call for Proposals’ whereby the Agency invites Economic Operators to submit proposals at their own initiative, at any time, throughout the duration of the specific Call for Proposals. Each proposal received shall be opened and evaluated one by one following its receipt.
 - b) ‘Fixed Call for Proposals’ whereby the Agency invites Economic Operators to submit proposals by a defined closing date. The proposals received by the closing date shall be opened and evaluated together thereafter.
 - c) ‘Open Call for Proposals’ whereby the Agency invites Economic Operators to submit proposals at their own initiative, at any time throughout the duration of the Call for Proposals. The evaluation of the proposals that are received by the pre-determined deadlines shall take place at regular intervals in batches.
3. Calls for Proposals without Procurement may include a preliminary stage, whereby outline proposals are selected for a second stage of the procedure. The second stage of the procedure shall contain the elements set out in Article 17, paragraph 4 a) to c) of these Regulations.

4. Calls for Proposals without Procurement shall be implemented through a Cooperative Agreement. Any (co-)funding by the Agency may take the form of monetary or in-kind contribution.
5. Calls for Proposals without Procurement shall be issued on a competitive basis if the Solicitation Documents indicate that a limited number of Cooperative Agreements can be placed within the budget available.
6. Calls for Proposals without Procurement that include a preliminary stage shall be published on the Agency's dedicated electronic tool.
7. Outline proposals shall be opened and evaluated by a Board consisting of members with expertise in the subject matter of the Call for Proposals.

Each member of the Board shall sign a declaration of confidentiality and non-interest in the outcome of the respective Tender Action.
8. The Initiating Service of the Agency shall nominate at least one representative for the Call for Proposals. The Head of the Department in charge of contracts shall nominate a Contracts Officer (together, "the Representatives for the Call").
9. The Representatives for the Call shall be responsible for the preparation and publication of the Call for Proposals, according to Article 16, paragraphs 6 and 7; Article 17, paragraphs 2 to 5; Article 18, paragraph 3 a) and c), and Article 26 of these Regulations *mutatis mutandis*. For Negotiation meetings, Article 29, paragraph 16 of these Regulations is not applicable to Calls for Proposals without Procurement.
10. A Tender Evaluation Board, in conformity with Article 16 of these Regulations, shall be appointed for the evaluation of proposals and recommendation for the award of a Cooperative Agreement in accordance with Article 30 of these Regulations.

ARTICLE 11 – SELECTION OF SUBCONTRACTORS

1. In order to ensure the implementation of the defined industrial policy requirements pursuant to Article 3, paragraph 1 d) of these Regulations, the Agency may define in the Solicitation Documents the tendering requirements the Tenderer and/or Contractors will have to follow in the selection of their industrial consortium and the contractual replication by these Contractors of such requirements on their subcontractors.

To that effect, the Director General shall establish a specific set of Procurement requirements to be made applicable either as part of the Invitation to Tender, in the case whereby Tenderers will be requested to present their (full or partial) industrial consortium as part of the tender or as part of the Contract in the event that the selection of Subcontractors is carried out during the performance of the Contract.

As a minimum, these requirements shall secure:

- fair and equal treatment of all Economic Operators;

- transparency and impartiality with equal access to all Economic Operators to competitive tendering, and
- full visibility for the Agency on the tendering and evaluation process.

In the case of the selection of Subcontractors during the execution of the Contract, such requirements shall be called “Best Practices for the Selection of Subcontractors by Prime Contractors in the Framework of ESA’s Procurements” and shall be approved by the Industrial Policy Committee.

The Agency shall report on the implementation of these requirements as part of the Contract Proposal to be submitted in accordance with Article 31 of these Regulations.

2. Where the Agency imposes such contractual obligations on the Tenderer or the Contractor, the tendering process to be carried out by the Tenderer or the Contractor, or when applicable, by its Subcontractors or the Agency in application of Article 15 paragraph 1.b) ii of these Regulations, and the resulting contracts which the Contractor (or, when applicable, its Subcontractors) awards, are not subject to the right of review provided for under Part VII of these Regulations.

PART III

INITIATION OF THE TENDER ACTION

ARTICLE 12 – QUALIFICATION, EXCLUSION, SUSPENSION AND REGISTRATION OF ECONOMIC OPERATORS

1. All Economic Operators which are established in a Member State, Associate Member or Cooperating State qualify to participate in a Tender Action of the Agency, provided they:
 - a) satisfy the requirements set out under Article II.3 of Annex V to the Convention, except if they only participate in General Procurement Tender Actions, and
 - b) do not fall under one of the exclusions set out under paragraphs 3 and 14.
2. An Economic Operator shall possess the necessary professional and technical qualifications, and competences, financial resources, equipment and other physical facilities, managerial capability, reliability, experience and reputation, and the personnel, to perform a Contract or a Cooperative Agreement.
3. An Economic Operator shall be excluded from participation in any Tender Action of the Agency, including if it was to act as Subcontractor, where:
 - a) it does not have the legal capacity to enter into the Contract or Cooperative Agreement;
 - b) it is bankrupt, subject to insolvency or winding-up procedures, is having its assets administered by a liquidator or a court, has entered into an arrangement with creditors, has suspended business activities, is the subject of proceedings concerning those matters, or is in any analogous situation arising from a similar procedure provided for in national legislation;
 - c) it or persons having powers of representation, decision-making or control over it, have been convicted of an offence concerning their professional conduct either by a judgment which has the force of *res judicata* or an administrative decision, including that of an international organisation;
 - d) it has been established by any means which the Agency can justify that it or persons having powers of representation, decision-making or control over it have been guilty of grave professional misconduct for having violated applicable laws or regulations or ethical standards of the profession to which they belong or for having engaged in any wrongful conduct which has an impact on their professional credibility, where such conduct denotes wrongful intent or gross negligence;
 - e) it is not in compliance with its obligations relating to the payment of social security contributions or the payment of taxes in accordance with the legal provisions of the country in which it is established, or those of the country(ies) where the Contract or the Cooperative Agreement is to be performed;

- f) it, or persons having powers of representation, decision-making or control over it, have been the subject of an administrative decision, including that of an international organisation, or of a judgment which has the force of *res judicata* for: fraud; corruption; conduct related to a criminal organisation; money laundering; terrorist financing or terrorist-related offences linked to terrorist activities respectively, or inciting, aiding or abetting others to commit such offences; child labour or other forms of trafficking in human beings; creating an entity in a different jurisdiction with the intent to circumvent fiscal, social or any other legal obligation in the jurisdiction of its registered office, central administration or principal place of business; or any other activity or act detrimental to the Agency's interests;
 - g) it is currently subject to a suspension pursuant to paragraph 17.
- 4. The Agency shall not exclude an Economic Operator from participating in a Tender Action pursuant to paragraph 3 where the Economic Operator has taken remedial measures to an extent that is sufficient to demonstrate its reliability.
- 5. The Director General shall maintain a Potential Bidder's electronic registration system accessible through the public part of the Agency's electronic medium dedicated to tendering where interested Economic Operators - including Tendering Bodies - established in or designated by Member States, Associated Members or Cooperating States are required to register directly and provide among other information, a declaration and evidence of absence of a situation of exclusion in relation to the cases set out under paragraph 3 or failing that, a declaration of honour signed and dated stating that the Economic Operator is not in one of those cases.

A simplified¹ registration shall be required from Economic Operators, including those established in a Member State, Associate Member or Cooperating State, wishing to participate in a General Procurement Tender Action of the Agency.
- 6. Before taking any decision to refuse registration, the Agency shall give the Economic Operator concerned the opportunity to submit observations. Should any registration be refused, the reasons for refusal shall be communicated for information both to the Economic Operator concerned and the Member State, Associate Member or Cooperating State to which that Economic Operator is considered to belong.
- 7. Information provided by Potential Bidders may be used for the Agency's internal purposes only, and shall not be disclosed outside the Agency.
- 8. Potential Bidders shall update their information every 12 (twelve) months. Failure by Potential Bidders to comply with this obligation within a period of 3 (three) months following the due date for the update of the required information may result in the Potential Bidders being denied access to the non-public part of the Agency's electronic medium dedicated to tendering.

¹ The simplified registration is referred to as "light registration" in the Agency's electronic tool dedicated to tendering.

9. Where during this 12 (twelve)-month period the Potential Bidder finds itself in one of the situations set out under paragraph 3, it shall inform the Agency thereof immediately in writing.
10. A Member State, Associate Member or Cooperating State shall, upon request, be provided with a copy of the list of the Potential Bidders considered to belong to that State, including Tendering Bodies.
11. In the framework of arrangements and/or of Procurements made with non-Member States, Associate Members, Cooperating States or international organisations, Economic Operators from those States or from the Member States of an international organisation may be required to satisfy the requirements laid down under this present Article and may be granted full or partial access to the non-public part of the Agency's electronic medium dedicated to tendering.
12. Where a Member State, Associate Member or Cooperating State, or an international organisation, requires access to any of the above information, such a request shall be addressed in writing and, with the exception of the information referred to under paragraph 10, disclosure by the Agency shall not be made prior to receipt by the Agency of the written consent of the Economic Operator concerned.
13. In the framework of a General Procurement, Economic Operators which are not established in a Member State, Associate Member or Cooperating State, may only participate in a Tender Action of the Agency if they are established in a country being party to the World Trade Organization ("WTO") Government Procurement Agreement (GPA). The Agency reserves the right to place further restrictions on participation for the protection of its essential security interests or those of its Member States, as referred to in the WTO Government Procurement Agreement.

The obligation of information established under paragraph 9 shall be required at any time from Economic Operators who are under the obligation of simplified ("light") registration in accordance with paragraph 5, be it prior to the award of or during the performance of a Contract.

14. In the framework of General Procurement, Economic Operators which have supported the Agency in the establishment of the requirements forming the basis of the Tender Action shall be excluded from participating in that Tender Action.
15. Any decision on the exclusion of an Economic Operator from participating in a Tender Action shall be made in compliance with the principle of proportionality.
16. Failure to provide or update the required information under this Article shall result in the Contract or Cooperative Agreement not being awarded.
17. The Director General may suspend Economic Operators from participating in the Agency's Tender Actions if:
 - a) they are found guilty of misrepresentation in supplying the information in relation to this Article or, when formally required, they fail to supply this information on 3 (three) consecutive occasions, or

- b) it has been proven by any means which the Agency can justify that they, or persons having powers of representation, decision-making or control over them are found guilty in the framework of an Agency or any other public procurement procedure including that of international organisations, of having or attempted to have, among other things:
- i. entered into agreement with other Economic Operators with the aim of distorting competition;
 - ii. influenced the decision-making process during the procurement procedure;
 - iii. obtained sensitive information that may confer upon them undue advantages during the procurement procedure; or,
 - iv. bribed a person participating in the procurement procedure.

In all cases, however, the Economic Operator concerned shall be given an opportunity to present their observations and where applicable, the Member State, Associate Member or Cooperating State concerned shall be informed accordingly.

18. Suspension for misrepresentation under paragraph 17 shall further result in any Contracts or Cooperative Agreements awarded by the Agency to an Economic Operator being terminated for fault of the Contractor and ESA shall be entitled to recover any payments made under those Contracts or Cooperative Agreements and any direct or indirect cost incurred.
19. The duration of the suspension pursuant to paragraph 17 shall be proportionate to the seriousness of the misconduct but shall never exceed:
- a) The duration of an exclusion set by a judgment which has the force of *res judicata* or an administrative decision including that of an international organisation;
 - b) 5 (five) years for the cases set out under paragraph 3.f) and paragraph 17; and,
 - c) 3 (three) years for the cases set out under paragraph 3.c) and paragraph 3.d).
20. Where a suspension decision may be taken on the grounds of several of the cases set out under paragraph 3, the duration of the suspension period shall be the longest allowable under these Regulations.

ARTICLE 13 – ADVANCED NOTICE

1. The Agency shall publish regularly on the Agency's electronic medium dedicated to tendering a list of intended Invitations to Tender on a competitive basis and Calls for Proposals with Procurement.
2. In addition, and at the discretion of the Director General, the list may contain intended Invitations to Tender on a non-competitive basis.
3. Potential Bidders shall be able to express their interest in the published intended Invitation to Tender directly on the Agency's electronic medium dedicated to tendering.

ARTICLE 14 – SUBMISSIONS TO THE COMMITTEES AND THRESHOLDS

Authorisation

Subject to Article 2, paragraph 2 of these Regulations, the following shall apply:

1. Prior to the issuing of Invitations to Tender or receipt of Proposals under Calls for Proposals, the Director General shall submit for the approval of the Industrial Policy Committee Procurement Proposals or Proposals for Cooperative Agreements, in the following cases:
 - a) Procurements for General Studies exceeding 500,000 (five hundred thousand) euros per Contract to be placed;
 - b) Procurements for technological programmes exceeding 1,000,000 (one million) euros per Contract to be placed;
 - c) all other Procurements or proposals for Cooperative Agreements exceeding 2,000,000 (two million) euros per Contract or per Cooperative Agreement (intended value of ESA (co-)funding) to be placed, respectively;
 - d) amendments proposed to a Contract in the following cases:
 - i. where the value of a Contract at the time of signature was below the limits stated in Article 14 of these Regulations and where a proposed amendment would result in the total value of this Contract exceeding those limits;
 - ii. where the goods or services under the amendment differ substantially in nature or magnitude from the goods or services originally approved in a Procurement Proposal or Contract Proposal in accordance with Article 14 and Article 31, paragraph 1 of these Regulations.
 - e) all Procurements which involve expenditure exceeding 200,000 (two hundred thousand) euros with an Economic Operator (Contractor or Subcontractor) of a non-Member State, not participating in the programme; or
 - f) such other cases which the Industrial Policy Committee has requested be submitted for approval.
2. The Director General shall, in addition, submit for the approval of the Industrial Policy Committee Procurement Proposals which they consider are not adequately covered by the directives or any guidelines issued by the Industrial Policy Committee or might give rise to a conflict with those directives or guidelines.
3. In a case of extreme urgency resulting from compelling operational needs, the submission of a Procurement Proposal for a competitive tender as set out under Article 4, paragraph 1 of these Regulations not exceeding 5,000,000 (five million) euros may be dispensed with by the Director General.

However, in the case of a restricted competitive tender as set out under Article 4, paragraph 2 of these Regulations or in the case of a non-competitive tender as set out under Article 5 of these Regulations, the Chair of the Industrial Policy Committee shall approve the issuing of the Invitation to Tender.

Reporting

4. The Director General shall maintain a record of numbers, values and categories of Contracts and Cooperative Agreements awarded in each Member State, Associate Member, Cooperating State and in other States.

To that effect, the Director General shall submit to the Industrial Policy Committee on a quarterly basis:

- a) a list of Contracts and Cooperative Agreements awarded during the previous quarter; and
 - b) a report on the state of the geographical distribution of Contracts and Cooperative Agreements at the end of the previous quarter.
5. Any delegation of a Member State, Associate Member or Cooperating State may receive upon request in a specific case a written or oral explanation of the reasons for actions taken under these Regulations.

The Director General shall also provide such information to the Industrial Policy Committee.

6. The Agency shall not be liable to Tenderers for damages owing to the abovementioned disclosures by their recipients.

Tender Action matters

7. The Director General may submit for the decision or recommendation of the Industrial Policy Committee or of the Administrative and Finance Committee questions with Tender Action implications concerning the application of these Regulations and corresponding Contracts and Cooperative Agreements.
8. The submission referred to in paragraph 7 shall be made as early as possible after the question has arisen.

ARTICLE 15 – CONFLICT OF INTEREST

1. For the purpose of these Regulations, there is a conflict of interest:
 - a) where the impartial and objective exercise of the functions of an Agency staff member or any other person participating in the Tender Action is compromised or perceived to be compromised for reasons involving family, emotional life, political affinity, economic interest or any other shared interest with Tenderers;
 - b) where in the case of “Best Practices” as set out under Article 11 of these Regulations:
 - i. the impartial and objective exercise of the functions of an employee of a Contractor and/or of one of its Subcontractors, or an Agency staff member or any other person participating in Tender Evaluation Boards or evaluation panels under the Best Practices referred to under Article 11 of these Regulations, is compromised for reasons involving family, emotional life, political affinity, economic interest or any other shared interest with Tenderers; and/or

- ii. the impartial and objective exercise of the functions of a Contractor and/or their Subcontractor is compromised by economic interest or any other shared interest with Tenderers. Should such a situation arise, the Agency shall take all necessary measures so as to ensure that the principle of fair and equal treatment of all Economic Operators is adhered to throughout the competition.

2. Declaration of non-interest

- a) By the time of the first meeting of the Tender Evaluation Board or evaluation panel, the persons participating in the Tender Evaluation Board or evaluation panel shall have signed off a declaration of non-interest in the outcome of the Tender Action, whether competitive or non-competitive;
 - b) At the time of receipt of the tenders or proposals for evaluation, the persons participating in a Tender Evaluation Board or evaluation panel shall be requested to review this declaration in the light of the tenders received and this will be recorded in the Contract File.
3. Where a person makes a declaration as to the existence of a conflict of interest, or a potential conflict of interest, that person shall be excused from participation in, and relieved from, the Tender Evaluation Board or evaluation panel, where the Head of the Department in charge of contracts confirms such conflict of interest.
4. Any breach, omission or false statement in respect of the obligations referred to under paragraph 2 may lead to sanctions being applied by the Director General.

ARTICLE 16 – TENDER EVALUATION BOARDS AND PANELS

1. A Tender Evaluation Board responsible for the preparation of Invitations to Tender, and the evaluation of tenders and of proposals, shall be established in the following cases:
 - a) for each open competitive tender and restricted competitive tender, as set out under Article 4 of these Regulations;
 - b) for each non-competitive tender, whether it is the subject of a submission to the Industrial Policy Committee as set out under Article 14 of these Regulations, or not,
 - c) for each two-stage tender, as set out under Article 6 of these Regulations;
 - d) for the evaluation of each proposal received in response to a Call for Proposals, and
 - e) such other cases as the Director General sees fit.
2. The Tender Evaluation Board members shall be Agency workforce with the necessary expertise required for the preparation of the Invitation to Tender and the evaluation of the tenders and proposals received. The detailed composition of the Tender Evaluation Board shall be laid down in an internal Implementing Instruction.

3. Experts may assist the Tender Evaluation Board.
4. Observers may be invited to attend meetings of the Tender Evaluation Board.
5. In the framework of international agreements entered into by the Agency with its Member States or public bodies (including international organisations), staff of the Member States or public bodies may be nominated members, experts or observers, if this is expressly provided for in those agreements. Where not provided for in such agreements, the participation of external observers or experts may be agreed by the Head of the Department in charge of contracts on a case-by-case basis.
6. Participants in a Tender Evaluation Board shall have the duty not to disclose any information concerning the proceedings of the Board and the evaluation to persons not involved in the evaluation, and to keep all evaluation documents, including tenders and proposals, safe from disclosure.

Any breach of the above duties and obligations may lead to sanctions being applied by the Director General.
7. Each participant shall sign off:
 - a) a declaration of secrecy; and
 - b) the declaration of non-interest in the outcome of the Tender Action laid down in Article 15 of these Regulations.
8. Where the complexity of the subject matter of the Invitation to Tender warrants, the Tender Evaluation Board may, prior to receipts of tenders, appoint evaluation panels to advise it on specific aspects of the tenders.
9. Articles 15 and 16 of these Regulations shall apply *mutatis mutandis* to appointment to evaluation panels and the obligations of its members.

PART IV

PROCEEDINGS OF THE TENDER ACTION

ARTICLE 17 – CONTENT OF THE TENDER ACTION SOLICITATION DOCUMENTS

1. The Solicitation Documents of an Invitation to Tender shall contain as a minimum the following information:
 - a) The object of the intended Contract;
 - b) A specification of the requirements in all necessary details;
 - c) The type of price and the currency in which the tender is to be expressed;
 - d) The time limits for the performance of the intended Contract;
 - e) The closing date and time for the receipt of tenders;
 - f) The method of submission of tenders, where appropriate;
 - g) The language in which tenders are to be prepared;
 - h) Instructions for the submission of the information required under Article 12 of these Regulations;
 - i) Instruction for submission of information on any proposed Subcontractors;
 - j) A statement as to the use of two-stage tendering and Competitive Dialogue, and the applicable procedure, where appropriate;
 - k) A statement as to the selection of Subcontractors, use of Best Practices or otherwise and the reference to the applicable procedure, where appropriate;
 - l) A statement that tenders shall be treated confidentially;
 - m) A statement of the selection criteria, evaluation criteria and weighting factors to be applied, where appropriate;
 - n) A statement of special clauses and conditions applicable to the intended Contract;
 - o) A statement that the Invitation to Tender does not commit the Agency in any way;
 - p) A statement of any requirements on the geographical distribution of work, where appropriate;
 - q) A statement of any industrial policy requirements, where appropriate;
 - r) A statement in the case of an optional programme that preference will be given to Tenderers in States participating in the relevant programme; and
 - s) A statement indicating, where applicable, that the subject Procurement is a General Procurement.
2. The Solicitation Documents of a Call for Proposals shall contain, as a minimum, the following:

- a) The reference to, and short description of, the Agency's activity or programme in the area in which the Call for Proposals is issued;
 - b) The specific objectives pursued under the Call for Proposals, including in terms of results, as well as the timeframes for the achievement of those results;
 - c) The detailed description of the procedural steps under the Call for Proposals;
 - d) The evaluation criteria, which shall be no less than 2 (two) and no more than 8 (eight), and if relevant, the weighting factors, and the selection criteria;
 - e) the conditions for registration as a Potential Bidder in the Agency's electronic tool dedicated to tendering as a precondition for submitting a full proposal;
 - f) The submission conditions including relevant templates, the required contents of the proposal (technical, management, financial information, business plan, etc.) and the draft Contract or Cooperative Agreement;
 - g) The requirement that full proposals be submitted via the Agency's electronic tool dedicated to tendering, and
 - h) Whether re-submission of proposals is permitted and if so, under what conditions;
 - i) Closing date(s) for the submission of proposals, if applicable.
3. The Solicitation Documents may also include the following:
 - a) An activity description;
 - b) Specific conditions applicable to an optional programme;
 - c) If the activity is to be (co-)funded, the indication whether the (co-)funding will be in-kind or monetary and the percentage of (co-)funding required.
4. The Solicitation Documents of a Call for Proposals that includes a preliminary stage shall, in addition to the information set out in paragraphs 2 and 3, include the following:
 - a) A step-by-step description of the procedure that will lead to the submission and evaluation of the outline proposals;
 - b) A reference to the online platform where the outline proposals shall be submitted and all communication related thereto is to take place;
 - c) The evaluation criteria to be applied to the evaluation of outline proposals.
5. The above information or any other requirements necessary for the preparation of a tender or a proposal in response to a Tender Action shall be established where appropriate, by means of tender conditions and a cover letter, constituting parts of the Tender Action.

ARTICLE 18 – EVALUATION CRITERIA, SELECTION CRITERIA AND WEIGHTING FACTORS

1. Evaluation criteria shall be established for each Tender Action. Where the Invitation to Tender only requires from Economic Operators the submission of a signed declaration stating their price and their unconditional acceptance of, among other things, the

contractual and technical requirements established in the Invitation to Tender, the establishment of evaluation criteria is not required.

The Tender Evaluation Board shall be free to establish such evaluation criteria as it sees fit in accordance with the guidelines set out in paragraph 3. c), provided that all significant parts of the Tender Action are covered and when applicable, specific industrial policy measures are taken into account.

2. Selection criteria, where applicable, shall be based on the criteria set out in Article 12, paragraph 2 of these Regulations.
3. The Tender Evaluation Board shall, as far as possible, take into consideration the following:
 - a) selection and evaluation criteria shall be well defined, logically distinct, objective, non-discriminatory and avoid duplication;
 - b) where, as set out under Article 16 of these Regulations, the Tender Evaluation Board decides to appoint tender evaluation panels, the evaluation criteria should, as far as possible, be arranged under aspects corresponding to the field of reference of each panel; and
 - c) The evaluation criteria may address the following areas, among others:
 - i. background and experience of the Tenderer and its personnel in relation to the tender or proposal in question;
 - ii. degree of innovation of the solution proposed;
 - iii. social and environmental characteristics of the goods or services;
 - iv. facilities required for the activity;
 - v. understanding of the requirements and discussion of the problem areas;
 - vi. proposed programme of work;
 - vii. planning, management and costing;
 - viii. administrative and contractual aspects.
4. In the case of competitive tendering as set out under Article 4 of these Regulations, the Tender Evaluation Board shall attribute weighting factors against each of the evaluation criteria it establishes.

In the case of non-competitive tendering as set out under Article 5 of these Regulations, the Tender Evaluation Board shall attribute weighting factors against each of the evaluation criteria it establishes for Procurement actions of 10,000,000 (ten million) euros or more.
5. Weighting factors shall not give an unfair advantage to one Economic Operator over another.
6. Once approved, the selection criteria, evaluation criteria and weighting factors shall be binding for the evaluation.

ARTICLE 19 – ADDRESSEES OF THE TENDER ACTION

1. Invitations to Tender for open competitive tendering as set out under Article 4, paragraph 1 of these Regulations, and Calls for Proposals shall be directly accessible from the non-public part of the Agency's electronic tool dedicated to tendering to:
 - a) all Potential Bidders in the States participating in the programme to which the Tender Action refers;
 - b) all Potential Bidders in some of the States participating in the programme to which the Tender Action refers, if the Industrial Policy Committee has given a directive or guideline to that effect to the Director General;
 - c) all Potential Bidders in States not participating in the programme to which the Tender Action refers, if:
 - i. the Industrial Policy Committee has given a directive or guideline to that effect to the Director General; or
 - ii. this results from the implementation of an international agreement entered into by the Agency with its Member States or public bodies (including international organisations);
 - d) identified Potential Bidders in States not participating in the programme to which the Tender Action refers, if:
 - i. the Industrial Policy Committee has given a directive or guideline to that effect to the Director General;
 - ii. there is no other way of satisfying requirements, or where unacceptable delay or cost would result from not doing so; or
 - iii. this results from the implementation of an international agreement entered into by the Agency with its Member States or public bodies (including international organisations).
2. For restricted competitive tendering as set out under Article 4, paragraph 2 of these Regulations, and for non-competitive tendering as set out under Article 5 of these Regulations, Invitations to Tender shall be made accessible to the identified Potential Bidders from the non-public part of the Agency's electronic tool dedicated to tendering and by any other electronic means available which comply with the requirements set out under Article 44 of these Regulations.
3. The Director General shall ensure that all competitive Invitations to Tender and Calls for Proposals shall be made directly accessible from the non-public part of the Agency's electronic tool dedicated to tendering to the concerned Member States, Associate Members and Cooperating States.
4. Where individual Economic Operators from Member States, Associate Members and Cooperating States not participating in the programme to which the Invitation to Tender refers request an Invitation to Tender issued under Article 4, paragraph 1 of these Regulations, the latter may only be issued to them provided the Invitation to Tender

does not contain information which precludes its distribution outside the States participating in the programme.

In all cases, such individual Economic Operators to whom the Invitation to Tender is provided, shall be reminded that preference shall be given to Economic Operators from States participating in the programme to which the Invitation to Tender refers.

Any decision not to provide the Invitation to Tender Solicitation Documents to such Economic Operators shall not require any substantiation and in no case shall constitute the basis for a claim.

ARTICLE 20 – PUBLICATION OF THE TENDER ACTION SOLICITATION DOCUMENTS

1. Publication of the Tender Action Solicitation Documents shall be carried out simultaneously to all Potential Bidders through the Agency's electronic tool dedicated to tendering.

In the case of General Procurement, publication may be carried out using any other media in order to reach the wider community of potential tenderers. Such publication shall not create an unfair advantage to the benefit of one or more Economic Operators.

2. Access to, and downloading from, that electronic tool shall be made available free of charge.

ARTICLE 21 – TIME LIMITS FOR THE TENDERING PERIOD

1. Any prescribed time limit for the tendering period shall be adequate to allow for the preparation and submission of tenders and proposals before the closing date of the Tender Action.
2. In determining any such time limits, the Tender Evaluation Board shall, consistent with its own reasonable needs, take into account the complexity of the intended Tender Action and the extent of subcontracting anticipated.
3. In the case of competitive tendering as set out under Article 4 of these Regulations, the first stage of a procedure under Article 6 of these Regulations, and of Calls for Proposals without a preliminary stage, the time limit for receipt of tenders or proposals shall in no circumstances be less than:
 - a) 42 (forty-two) calendar days from the date on which the Tender Action is published, for Tender Actions above the thresholds set out in Article 14 of these Regulations;
 - b) 28 (twenty-eight) calendar days, for all other Tender Actions, provided such a period does not create an unfair advantage to the benefit of one or more Economic Operators.
4. In the case of non-competitive tendering as set out under Article 5 of these Regulations, and of Calls for Proposals with a preliminary stage, the time limit shall in no circumstances be less than:

- a) 42 (forty-two) calendar days from the date on which the Tender Action is published, for Tender Actions above the thresholds set out in Article 14 of these Regulations;
 - b) 7 (seven) calendar days for all other Tender Actions.
5. The Agency may, at its own discretion and at any time during the time limit for receipt of tenders or proposals agreed for the Tender Action, extend that time limit.

In a case such as that set out in paragraph 3.b), an extension of a maximum period of up to 14 (fourteen) calendar days shall be granted automatically at the request of any Potential Bidder, provided that request reaches the Agency within the time limit prescribed in the Tender Action for such requests.

That extension shall be communicated simultaneously to all Potential Bidders concerned on the same date and in a manner identical with that which is applicable in respect of the publication of the original Tender Action.

ARTICLE 22 – BRIEFING, CLARIFICATIONS AND AMENDMENTS OF THE TENDER ACTION

1. If justified by the complexity of the Tender Action, briefing meetings may be called before or shortly after the Tender Action is issued in order to describe and explain the requirements in the Tender Action Solicitation Documents.
- The invitation to attend such briefing meetings and the questions submitted, and answers given during these briefing meetings, shall be communicated simultaneously to all Potential Bidders concerned on the same date in a manner identical with that applicable in respect of the Tender Action.
2. Once the Tender Action is issued and before the closing date for the submission of tenders and proposals, the Agency may clarify and/or amend the Tender Action Solicitation Documents, either following requests from Economic Operators, or at its own initiative.
3. Any questions by Potential Bidders concerning the Tender Action shall be submitted in writing to the nominated Contracts Officer before the deadline indicated in the Solicitation Documents prior to the closing date for the submission.
4. The only authorised point of contact for the Agency before the closing date for the submission of tenders or proposals shall be the Contracts Officer designated in the Tender Action Solicitation Documents, or in their absence, any other Contracts Officer designated by the Department in charge of contracts.
5. In all cases, such clarifications and/or amendments shall:
- a) be subject to the approval of the Chair of the Tender Evaluation Board prior to their publication;
 - b) contain both the original question and answer, when applicable, without identifying the source of the request;

- c) be communicated within a reasonable time period prior to the closing date, and, if necessary to preserve fair competition, a commensurate extension of the tender period shall be granted by the Agency, and
- d) be communicated simultaneously to all Potential Bidders concerned on the same date and in a manner identical with that which is applicable in respect of the publication of the original Tender Action.

ARTICLE 23 – SUSPENSION OR CANCELLATION OF THE TENDER PROCESS

Suspension

- 1. The Director General may at any time suspend the Tender Process related to a Tender Action.
- 2. Upon resumption of the Tender Process, due account shall be taken of the period of suspension with respect to the time limits prescribed under Articles 21 and 27 of these Regulations, and of any other elements entailed by such suspension the effect of which could impair the principles of transparency and fair and equitable treatment of Economic Operators.
- 3. Potential Bidders shall be informed simultaneously of any suspension and subsequent resumption in a manner identical with that which is applicable in respect of the publication of the original Tender Action.

Cancellation

- 4. The Director General may at any time cancel a Tender Action or revoke an intended Tender Action published in accordance with Article 13 of these Regulations.
- 5. Potential Bidders or Tenderers shall be informed simultaneously of any cancellation of a Tender Action together with the reason for its cancellation.
- 6. Such cancellation or revocation by the Agency may not give rise to any claims by Economic Operators.

ARTICLE 24 – OPENING OF TENDERS AND PROPOSALS

- 1. All tenders and proposals received shall be opened by a Tender Opening Board after the closing date and time stated in the Tender Action Solicitation Documents. The Agency may decide to hold a public tender or proposal opening.
- 2. The members of the Tender Opening Board shall be drawn from the ESA workforce. The detailed composition of the Tender Opening Board shall be laid down in an internal Implementing Instruction.

In the framework of international agreements entered into by the Agency with its Member States or public bodies (including international organisations), staff of the Member States or public bodies may be nominated members, or observers of the

Tender Opening Board if such an arrangement is expressly provided for in those agreements.

To avoid any conflict of interest, the persons participating in the Tender Opening Board shall be subject to the obligations laid down in Articles 15 and 16 of these Regulations.

3. No opening may take place in the absence of a staff of the Department in charge of contracts.
4. The Tender Opening Board shall admit tenders or proposals if they were received before the closing date and time.
5. The Tender Opening Board may admit tenders or proposals not received by the closing date and time if the Tender Opening Board finds that Tenderers were not able to submit them before this date and time due to technical issues.
6. The members of the Tender Opening Board shall draft and sign the record of the opening.
7. Tenderers whose tenders or proposals were not admitted for evaluation by the Tender Opening Board shall be notified in writing within 5 (five) calendar days of the date of the decision of non-admission for evaluation.
8. Within 10 (ten) calendar days following receipt of the notification referred to under paragraph 7, Tenderers may formally request a debriefing from the Contracts Officer as to the reasons for their tender or proposal not being accepted for evaluation.
9. When the Agency elects to open the tenders or proposals publicly, such a decision shall be taken by the Head of the Department in charge of contracts and:
 - a) this shall be indicated in the Tender Action Solicitation Documents, together with the date and place of the public opening;
 - b) public openings shall take place at the Agency's premises. For security reasons, such participation shall be notified to the Contracts Officer at least 10 (ten) calendar days prior to the public opening. Failure to do so shall result in the Tenderer not being allowed on the Agency's premises;
 - c) participation shall be limited to Tenderers and not to Economic Operators who would be acting as Subcontractors in any resulting Contracts or Cooperative Agreements;
 - d) information made public at the time of the opening shall be limited to the name of the Tenderers;
 - e) the list of tenders or proposals received shall be communicated on request to the Tenderers that are not present at the time of the public opening; and,
 - f) the proceedings of the public opening shall be recorded in the Contract File.

ARTICLE 25 – RE-ISSUE OF THE TENDER ACTION

1. A Tender Action may be re-issued after cancellation of the original Tender Action in the following cases:
 - a) where it is found necessary to amend the Tender Action Solicitation Documents after the closing date and time for receipt of tenders or proposals;
 - b) where substantial errors or irregularities have occurred during the Tender Process;
A substantial error or irregularity shall be any infringement of these Regulations or any other regulations of the Agency and/or the Tender Action Solicitation Documents, resulting from an act or an omission during the Tender Process which causes or might cause the principles of transparency and fair and equitable treatment of all Economic Operators to be jeopardised;
 - c) where the interest of the Agency requires;
 - d) where no tender or proposal has been received or admitted by the Tender Opening Board;
 - e) where only one tender has been admitted by the Tender Opening Board and competitive tender is not waived under Article 5, paragraph 2 of these Regulations;
 - f) where, as a result of the evaluation carried out under Article 28 of these Regulations, no admitted tender or proposal is acceptable; or,
 - g) where for competitive Procurement actions of 20,000,000 (twenty million) euros or more or for non-competitive Procurement actions of 10,000,000 (ten million) euros or more, no admitted tender or proposal has obtained an overall minimum weighted mark of 60 (sixty).
2. The reason for the re-issue shall be stated in the Contract File.

ARTICLE 26 – CONFIDENTIALITY AND PERSONAL DATA PROTECTION

1. Tenders and proposals shall be treated in such a manner as to avoid the disclosure of their content to competing Tenderers and to persons or entities not participating in the Tender Process.
2. Where tenders or proposals are not admitted under Article 24 of these Regulations or where under Article 23 of these Regulations the Tender Action is cancelled after the closing date, and unless otherwise agreed with the Tenderers in the latter case, tenders or proposals shall be disposed of.
3. Within 60 (sixty) calendar days following the issuance of the notifications provided for under Article 33 of these Regulations, tenders or proposals shall be disposed of.
4. Tenders or proposals for goods or services whose performance must be accompanied by special security measures shall be treated in accordance with the Agency regulations in force.

5. Personal data contained in tenders or proposals shall be treated in accordance with the Agency's Personal Data Protection framework. Breaches of this framework by the Agency shall be dealt with in accordance with the procedure set out under the Agency's Personal Data Protection framework.

ARTICLE 27 – PERIOD OF VALIDITY OF TENDERS OR PROPOSALS

1. Any prescribed time limit for the validity period of tenders or proposals to be received shall take into account such factors as the complexity of the intended Tender Action, the extent of subcontracting anticipated and, where appropriate, the submissions provided for under Article 31 of these Regulations.
2. As a matter of guidance, the validity period of tenders or proposals should not be less than 60 (sixty) calendar days from the closing date and time stated in the Tender Action Solicitation Documents or in any extension granted in accordance with Article 21, paragraph 5 of these Regulations.
3. Where the Negotiations provided for under these Regulations are taking place and, due to their complexity, extend beyond the validity period of the tenders or proposals, the validity period of such tenders or proposals shall be considered implicitly extended until such time as the Negotiations are finalised, unless otherwise notified in writing by Tenderers.
4. Where, in application of Article 31 of these Regulations, a submission is required which will take place beyond the validity period of the tenders or proposals, the validity period of such tenders or proposals shall be considered implicitly extended until such time as the submission has taken place, unless otherwise notified in writing by Tenderers.
5. Where, in application of Article 23 of these Regulations, the Tender Action is suspended, upon resumption of the Tender Action, Tenderers shall be required in writing to explicitly extend the validity period of their tenders or proposals for the period laid down in the notification of resumption.

ARTICLE 28 – EVALUATION OF TENDERS AND PROPOSALS

1. All tenders and proposals admitted for evaluation by the Tender Opening Board shall be submitted to a Tender Evaluation Board.
2. The Tender Evaluation Board shall first verify that the tenders or proposals admitted for evaluation by the Tender Opening Board are complete, and constitute a sufficient response to allow for their evaluation in response to the Tender Action.

If a statement contained in a tender or proposal requires clarification, the procedure to be followed in such a case is set out in Article 29, paragraphs 1–4 of these Regulations.

If any element specifically required in the Tender Action Solicitation Documents is missing, the omission of which is such as to render the tender or proposal substantively incomplete, so that its further evaluation would impair fair competition, the Tender

Evaluation Board shall eliminate that tender or proposal from further evaluation. Tenderers shall be informed of the elimination and the reasons for it in accordance with Article 33 of these Regulations.

3. Subsequent to the verification carried out under paragraph 2, the Tender Evaluation Board shall proceed with the evaluation of the admitted tenders or proposals and shall base its evaluation on the selection and evaluation criteria established in accordance with Article 18 of these Regulations.
4. The Tender Evaluation Board shall evaluate against the set of evaluation criteria defined in the Tender Action Solicitation Documents:
 - a) the completeness and the quality of the tender or proposal against the requirements of the Tender Action;
 - b) whether the Tender Action requirements are complied with;
 - c) the Tender Evaluation Board shall identify the strengths and weaknesses of each tender or proposal in respect of each evaluation criterion, without comparing the tenders or proposals against each other.
5. The Tender Evaluation Board shall only proceed with the final marking of the tender or proposal against each evaluation criterion and when applicable, with the application of the corresponding weighting factors established in accordance with Article 18 of these Regulations, once it is satisfied that all findings have been discussed and any clarifications, Negotiations or Dialogues as provided for under Article 29 of these Regulations have been concluded satisfactorily.
6. The Tender Evaluation Board shall award marks to each of the criteria and sub-criteria, if applicable. The marks shall be a number between 0 (zero) and 100 (one hundred) for each criterion in accordance with the following scale:

Perfect	100
Excellent	90
Very Good	75
Good	60
Fair	50
Acceptable	40
Unacceptable	0-39

The price, as opposed to the credibility of costs, shall not be marked.

ARTICLE 29 – CLARIFICATION, NEGOTIATION AND DIALOGUE WITH TENDERERS

Clarification

1. Clarifications may only be undertaken with Tenderers following the opening of tenders or proposals, and during the evaluation period:

- a) for the admission of tenders or proposals for evaluation as set out under Articles 24 and 28, paragraph 2 of these Regulations; or
 - b) for the evaluation of tenders or proposals, as set out under Article 28 of these Regulations.
2. Clarifications shall not be aimed at perfecting or supplementing tenders or proposals and shall not lead to any substantive change in the tenders or proposals.
3. Clarifications with Tenderers shall be conducted by the Contracts Officer acting as joint secretary to the Tender Evaluation Board. They shall be formal, in writing, and restricted to what is necessary to ensure fair and equitable treatment of all Tenderers.
4. Any clarification with Tenderers shall be made safe from disclosure to the Agency's workforce or other persons not participating in the Tender Process.

Negotiation and/or Dialogue

5. Negotiations with Tenderers during the evaluation of tenders or proposals are allowed in any of the following cases:
 - a) competitive Tender Actions engaged by means of two-stage tendering, as provided for under Article 6 of these Regulations, or
 - b) non-competitive Tender Actions, or
 - c) competitive Tender Actions for 20,000,000 (twenty million) euros or more, where no tender or proposal has obtained the required minimum overall weighted mark of 60 (sixty), as set out under Article 30, paragraph 4 of these Regulations, and the Tender Evaluation Board recommends Negotiation with all Tenderers whose tender or proposal has been marked acceptable, unless the Tender Evaluation Board recommends that the Tender Action be re-issued in accordance with Article 25 of these Regulations, or cancelled in accordance with Article 23 of these Regulations.
6. Negotiation shall not modify the minimum requirements and shall not substantially modify any other requirements or tender conditions of a Tender Action.
7. Dialogues with Tenderers may only be undertaken in the framework of Procurement actions engaged by means of two-stage tendering as provided for under Article 6 of these Regulations. Any modification of requirements or tender conditions must be communicated simultaneously to all Tenderers to allow them to take the modification into account for a best and final proposal.
8. The place and means of Negotiation and Dialogue shall always be selected so as to maintain equality of opportunity for all Tenderers.
9. Prior to the start of Negotiations or Dialogues, Tenderers shall be informed of the nature of, and the reason for the Negotiations and Dialogues.
10. If any Tenderer refuses to enter into Negotiation or Dialogue, that fact shall be recorded, but Negotiations or Dialogues with other Tenderers shall proceed.

11. All Tenderers shall be given equal opportunity, and the Negotiations or Dialogues shall be impartial and shall give no preference to any Tenderer.
12. No information contained in one tender or proposal, may be used in Negotiations and Dialogues with another Tenderer.
13. All questions or requests made to Tenderers shall be recorded in writing, and responses shall be submitted in writing. Tenderers shall be informed that their responses shall be formally regarded as constituting a revised binding tender or proposal.
14. Minutes of any meetings shall be kept and signed by all the participants present at the meeting and a report shall be made on any visit to inspect facilities.
15. Following the conclusion of the Negotiations or Dialogues, Tenderers shall be required to submit their best and final offers. Negotiation or Dialogue on such best and final offers is not allowed.
16. The Tender Evaluation Board shall consider these final tenders or proposals, mark them, and then apply weighting factors as set out under Article 28 of these Regulations.

ARTICLE 30 – RESULTS OF EVALUATION AND RECOMMENDATION

1. The recommended tender or proposal shall be that which is designated in accordance with Article 28 of these Regulations.
2. Following the application of the weighting factors, the Tender Evaluation Board shall proceed with an overall assessment of the tenders or proposals taking into consideration:
 - a) the weighted marks;
 - b) the price and,
 - c) when established in the Tender Action Solicitation Documents, the industrial policy measures and/or the geographical return requirements.
3. As a result of the overall assessment of tenders or proposals, the Tender Evaluation Board shall make a recommendation for awarding the Contract or the Cooperative Agreement to the Tenderer that offers the most economic and effective employment of the Agency's resources.

This shall be the best combination of the total weighted mark, price and, when applicable, the industrial policy measures or the geographical return requirements established in the Tender Action Solicitation Documents at the time of its issuing.
4. For non-competitive Tender Actions of 10,000,000 (ten million) euros or more, and for competitive Tender Actions of 20,000,000 (twenty million) euros or more, recommendation for the award of a Contract or Cooperative Agreement shall only be made by the Tender Evaluation Board where a tender or proposal has obtained a minimum overall weighted mark of 60 (sixty).

In all other cases, the Tender Action may be re-issued in accordance with Article 25 of these Regulations.

5. Where, as a result of the evaluation carried out under Article 28 of these Regulations, the Tender Evaluation Board considers that:
 - a) no tender or proposal is acceptable (i.e., has obtained a mark below 40 (forty) under any evaluation criterion); or,
 - b) no tender or proposal has obtained the required minimum overall weighted mark of 60 (sixty) for non-competitive Tender Actions of 10,000,000 (ten million) euros or more or for competitive Tender Actions of 20,000,000 (twenty million) euros or more, the Tender Evaluation Board may recommend that the Tender Action be re-issued in accordance with Article 25 of these Regulations or cancelled in accordance with Article 23 of these Regulations.
6. The Tender Evaluation Board shall prepare a report on the evaluation concluding with the recommendation of a tender/tenders or a proposal/proposals considered acceptable for the award of the Contract or Cooperative Agreement, for a reissuing or cancellation of the Tender Action.
7. The evaluation report shall contain, as a minimum:
 - a) the reference and subject of the Tender Action;
 - b) the Tender Opening Board report;
 - c) the selection criteria, evaluation criteria and weighting factors, if applicable;
 - d) the industrial policy and geographical distribution requirements indicated in the Tender Action Solicitation Documents;
 - e) the total marks (weighted and unweighted);
 - f) the overall assessment of each tender or proposal;
 - g) any individual reservation or minority statement from members of the Tender Evaluation Board;
 - h) the tenders or proposals in ranking order;
 - i) the recommendation;
 - j) the identification of the recommended Tenderer and its Subcontractors, if any, together with their:
 - i. individual proposed price and price type, if applicable;
 - ii. (co-)funding, if applicable;
 - iii. respective nationality;
 - iv. geographical distribution;
 - k) any points of Negotiation which need to be settled prior to a Contract or Cooperative Agreement being placed.

The evaluation report shall be kept in the Contract File.

8. The above recommendation shall be submitted for joint decision by the Head of the Initiating Service responsible for the Tender Action and the Head of the Department in charge of contracts, who shall take into account the principles laid down under Article 3, paragraph 1 c) and d) of these Regulations.

PART V

AWARD OF CONTRACT OR COOPERATIVE AGREEMENT

ARTICLE 31 – SUBMISSION OF CONTRACT PROPOSAL AND INFORMATION NOTE TO THE INDUSTRIAL POLICY COMMITTEE

Subject to Article 2, paragraph 2 of these Regulations, the following shall apply:

1. Prior to the award of a Contract, the Director General shall submit Contract Proposals for approval by the Industrial Policy Committee in the following cases:
 - a) where the evaluation of tenders results in a recommendation for the choice of a Contractor which would be contrary to the directives or to any guidelines issued by the Industrial Policy Committee;
 - b) where the intended Contract exceeds 20,000,000 (twenty million) euros, including Subcontractors;
 - c) where at the time of the submission of a Procurement Proposal not exceeding 20,000,000 (twenty million) euros, the Industrial Policy Committee has requested the submission of a Contract Proposal;
 - d) where the intended Contract is the result of a Call for Proposals with Procurement, in accordance with Article 9 of these Regulations, and has not been the subject of a Procurement Proposal in accordance with Article 14 of these Regulations;
 - e) where the intended Contract involves expenditure exceeding 200,000 (two hundred thousand) euros with an Economic Operator (Contractor or Subcontractor) of a non-Member State not participating in the programme, unless the Procurement in the non-Member State was provided for in the Procurement Proposal or in the framework of an international agreement entered into by the Agency with its Member States or public bodies (including international organisations);
 - f) where the intended Contract value was initially estimated to be below the limits stated in Article 14 of these Regulations, but a later estimate based on tenders received indicates that the Contract value will exceed those limits;
 - g) where, in the cases set out under Article 14 paragraph 3 of these Regulations, a Procurement Proposal has been dispensed with by the Director General, or
 - h) where the intended Contract value does not exceed 20,000,000 (twenty million) euros, but was the subject of a Procurement Proposal exceeding 20,000,000 (twenty million) euros.
2. Subsequent to the award of a Contract or prior to the award of an amendment to an existing Contract, the Director General shall submit Contract Proposals for the approval of the Industrial Policy Committee in the following cases:
 - a) where the value of a Contract at the time of signature was below the limits stated in Article 14 of these Regulations and where a proposed amendment would result in the total value of this Contract exceeding those limits, and where no submission to the IPC has been made pursuant to Article 14 paragraph 1 d) i. of these Regulations;

- b) where the goods or services under the amendment differ substantially in nature or magnitude from the goods or services originally approved in a Procurement Proposal or a Contract Proposal in accordance with Articles 14 and 31, paragraph 1 of these Regulations, and where no submission to the Industrial Policy Committee has been made pursuant to Article 14, paragraph 1.d) ii. of these Regulations;
 - c) where an amendment involves expenditure exceeding 200,000 (two hundred thousand) euros in a non-Member State not participating in the programme and has not been the subject of a Procurement Proposal;
 - d) in application of Article 8, paragraph 7 of these Regulations.
 - e) where the proposed value of a work order to be placed under a frame Contract exceeds the limits stated in Article 14 of these Regulations and that value would bring the total value of the frame Contract to exceed the limit already authorised by the Industrial Policy Committee in accordance with Article 14 of these Regulations.
3. The Director General shall submit Contract Proposals for approval by the Industrial Policy Committee prior to the award of a Cooperative Agreement in the event that the intended share of ESA (co-)funding is of 20,000,000 (twenty million) euros or more.
4. The Director General shall submit Information Notes to the Industrial Policy Committee in the following cases:
- a) where, at the time of the submission of a Procurement Proposal, the Industrial Policy Committee has requested the submission of an Information Note;
 - b) where a Contract subject to paragraph 1.b) grants to a Contractor the right to carry out procurements in order to select an industrial consortium under “Best Practices” during execution of the Contract as provided for under Article 11 of these Regulations, two Information Notes shall be submitted to the Industrial Policy Committee: the first when 40% (forty per cent) of Subcontractors are selected, and the second when 80% (eighty per cent) of the Subcontractors are selected.
5. Where, during the period between the recommendation provided for under Article 30 of these Regulations and the placing of a resulting Contract following submission to the Industrial Policy Committee of the Contract Proposal provided for under paragraph 1, an incumbent Contractor due to unforeseeable reasons or events is no longer in a position to preserve the continuity of the operational needs in terms of preservation of continuity of operational services, the Chair of the Industrial Policy Committee, based on reasons of extreme urgency, is authorised to allow the Director General to grant the recommended Tenderer a limited contractual coverage not exceeding 2,000,000 (two million) euros, this in order to proceed with the activities strictly necessary to preserve the continuity of those operational services during the said period. Such authorisation shall be communicated to the IPC at the time of its granting.

ARTICLE 32 – SIGNATURE AND ENTRY INTO FORCE OF A CONTRACT OR COOPERATIVE AGREEMENT

1. A Contract or Cooperative Agreement may not enter into force before its signature by the parties, in accordance with their respective prescribed procedures.
2. Where, for operational reasons, the implementation of a Contract or a Cooperative Agreement needs to begin before all points of that Contract or Cooperative Agreement have been negotiated, the Agency may authorise the start of the activities by releasing a formal Preliminary Authorisation to Proceed for a given period together, if so required, with a financial limit of liability.
3. Contracts, Cooperative Agreements and Preliminary Authorisations to Proceed, when signed in hard copy, shall be signed in two originals by the Contractor and the Agency. Electronic signature may be accepted in accordance with the law chosen to apply to the Contract or the Cooperative Agreement.
4. The original of the signed Contract, Cooperative Agreement and Preliminary Authorisations to Proceed retained by the Agency shall be kept in the Contract File, when signed in hard copy.
5. A Contractor which begins activities prior to signature of the Contract, Cooperative Agreement or Preliminary Authorisation to Proceed by the Agency shall not hold the Agency liable for any consequences should the Agency not sign the Contract, Cooperative Agreement or Preliminary Authorisation to Proceed.

ARTICLE 33 – NOTIFICATION TO TENDERERS AND AWARD NOTICES

1. Tenderers who have not been selected for the placing of a Contract or a Cooperative Agreement shall be notified in writing of the outcome of the evaluation by the Department in charge of contracts after the joint decision has been taken by the Head of the Initiating Service responsible for the Tender Action and the Head of the Department in charge of contracts, as provided for under Article 30, paragraph 8 of these Regulations or when applicable, after the approval by the Industrial Policy Committee as provided for under Article 31 of these Regulations.

The above notification shall comprise the findings of the Tender Evaluation Board together with the associated marks on the tender or proposal in question and shall not cover the quality or contents of other tenders or proposals.

2. Award notices on Tender Actions shall be published. The information published through the award notices shall be limited to:
 - a) the title of the Tender Action and its reference number;
 - b) the name of the Tenderer to which the Contract or the Cooperative Agreement has been awarded;
 - c) the price of the awarded Contract or the (co-)funding under the Cooperative Agreement.
3. Award notices on Tender Actions fully funded by Member States or public bodies (including international organisations) in the framework of the implementation of an international agreement entered into by the Agency, shall be published by the Agency

and/or the Member State or the public body where publication is required in that agreement.

The information to be published shall be that which is established in the agreement.

ARTICLE 34 – DEBRIEFING OF UNSUCCESSFUL TENDERERS

1. Within 10 (ten) calendar days following the receipt of the notification provided for under Article 33 of these Regulations, unsuccessful Tenderers may formally require in writing from the Contracts Officer who acted as joint secretary to the Tender Evaluation Board an oral debriefing explaining the reasons why their tender or proposal was not successful.
2. Such oral debriefing shall in principle be made by means of teleconference or videoconference. Unsuccessful Tenderers may nevertheless require that it takes place at the Agency's premises. The debriefing shall be given by a Contracts Officer with the participation of a Technical Officer at a date to be agreed with the unsuccessful Tenderer. As a matter of guidance, such debriefings should be given within 20 (twenty) calendar days of the Agency receiving a formal written request for a debriefing.
3. For Procurements which have been the subject of a submission to the Industrial Policy Committee, the Chair of the Tender Evaluation Board shall participate in the debriefing.
4. Explanations shall be limited to the findings of the Tender Evaluation Board on the tender or proposal in question and shall not cover the quality or contents of other tenders or proposals.
5. The record of any debriefing meetings shall be made available to its participants for their signature. The signed document shall be kept by the Agency and placed in the Contract File.

PART VI

INDUSTRIAL OMBUD

ARTICLE 35 – THE AGENCY’S INDUSTRIAL OMBUD

1. The Agency’s Industrial Ombud shall be competent for:
 - a) participating in the resolution of disputes between Economic Operators and the Agency in accordance with Article 39 of these Regulations;
 - b) facilitating the resolution of disputes among Economic Operators during the selection of Subcontractors pursuant to Article 11 of these Regulations;
 - c) facilitating communications between Tenderers, Potential Bidders and Contractors in the resolution of matters arising out of a Tender Action;
 - d) participating as a member in dispute adjudication boards for the amicable resolution of disputes between the Agency and Contractors. During this phase, the Industrial Ombud is further competent to facilitate communications between Contractors;
 - e) upon authorisation by Council, participating in mediation and arbitration of disputes under framework supply agreements between Economic Operators, and
 - f) upon request by the Director General, providing ad-hoc consultation on industrial issues and issues of revision and modification of rules and procedures applicable to Procurement matters.
2. All investigations by the Ombud shall be carried out in the strictest confidentiality. When conducting an investigation, the Ombud may call for and collect all relevant facts to resolve or advise on the issues raised by a party.

To that effect, the Ombud:

 - a) shall maintain strict confidentiality as to the source of the concern;
 - b) shall be granted access to the documents and proprietary information, the collection of which will be coordinated through the designated ESA support staff, and
 - c) shall be granted access to all technical specifications and requirements either established by the Agency or by the Contractor carrying out the procurement according to the Subcontractor selection procedure in accordance with Article 11 of these Regulations.
3. The Agency’s Industrial Ombud shall be nominated by Council upon proposal by the Director General for a period of 3 (three) years once renewable.
4. The Agency’s Industrial Ombud may only be relieved of their office by Council either at their own request or at the request of the Director General for stated misbehaviour or incapacity.

5. The Agency's Industrial Ombud is independent in the performance of their functions and shall not seek or accept instructions from anyone whatsoever. They must be an eminent person with particular experience and competence in matters pertaining to the European space industry and procurement.
6. In the exercise of their function, the Agency's Industrial Ombud shall enjoy the privileges and immunities provided for in Article XVII of Annex I to the Convention.
7. The Agency's Industrial Ombud shall not be a staff member of the Agency, nor a member of a delegation of a Member State, Associate Member or Cooperating State.
8. The Agency shall provide for all necessary facilities in order to support the Agency's Industrial Ombud in the carrying out of their duties; they shall have as their official seat at the Agency's headquarters.
9. The Agency's Industrial Ombud shall be financially compensated by the Agency for their activities.
10. Additional information on the role and responsibilities of the Industrial Ombud shall be included in an Implementing Instruction of the Agency, which shall be submitted for information to the Industrial Policy Committee.

PART VII

REVIEW

ARTICLE 36 – RIGHT OF REVIEW, EXCLUSIONS AND INTERIM MEASURES

Right of review

1. Taking due account of the Agency's legal status and privileges and immunities, established under Article XV of the Convention and its Annex I, and the specific nature and programmatic constraints of the activities carried out by the Agency, the review procedure established under these Regulations seeks to ensure full compliance with the right to an effective remedy and fair hearing for all Economic Operators under the conditions laid down hereunder.
2. Subject to the exclusions in paragraph 3 and 4 below, any Economic Operator demonstrating a direct interest in a Procurement by the Agency and claiming a potential loss due to an alleged procedural breach of these Regulations by the Agency may seek review in accordance with Articles 38, 39 and 40 of these Regulations.

Exclusions

3. The review provided for under this Article is not open to Economic Operators which would be acting as Subcontractors in a resulting Contract.
4. The following shall not be subject to the right of review provided for under this Article:
 - a) the selection of a method of Procurement pursuant to Articles 4 to 11 of these Regulations to attain the objectives set out under Article VII.1 of the Convention;
 - b) a decision pursuant to Articles 19, paragraph 4; 23; 25; and 30 of these Regulations;
 - c) a decision pursuant to Article II.3 of Annex V to the Convention and/or Article 3, paragraph 6 of these Regulations;
 - d) a decision taken by the Industrial Policy Committee pursuant to Articles 14 and 31 of these Regulations;
 - e) cases as set out under Article 11, paragraph 2 of these Regulations, or
 - f) an alleged breach of Article 26, paragraph 5 of these Regulations.

Interim measures

5. The timely submission of a claim under Article 38 of these Regulations may result in the suspension of the Procurement process by the Director General as provided for under Article 23, paragraphs 1–3 of these Regulations, provided that the claim is not frivolous and contains a declaration, the contents of which, if proven, demonstrate that the claimant will suffer irreparable damages in the absence of a suspension, it is probable that the complaint will succeed and the granting of the suspension would not cause disproportionate harm to the Agency.

6. Interim measures, including the suspension of the Procurement process or of the signature of the resulting Contract, may be proposed to the Director General by the Head of the Department in charge of contracts, the Agency's Industrial Ombud, or the Agency's Procurement Review Board.
7. In order to ensure the correct execution of the obligations set out under Part VII of these Regulations, the Director General shall establish the necessary detailed Implementing Instruction through a document known as the "European Space Agency's Procurement Review Procedure" (Annex III to this Regulation). Such Instruction shall be approved by the Industrial Policy Committee and published in accordance with Article 42 of these Regulations.

ARTICLE 37 – TIME LIMITS AND SUBMISSIONS

1. A claim alleging procedural breach of these Regulations by the Agency must be filed by the Economic Operator concerned not later than 15 (fifteen) calendar days after the alleged breach became apparent or should have become apparent to them.
2. Where an unsuccessful Tenderer requests a debriefing in application of Article 24, paragraph 8 or Article 34 of these Regulations, that Tenderer may not file a claim pursuant to this Article before the debriefing date offered to them by the Agency but must file the claim not later than 5 (five) calendar days after the date on which the debriefing was held.
3. All claims shall be submitted by electronic means through the Agency's dedicated electronic tool for this purpose.

ARTICLE 38 – REVIEW BY THE DEPARTMENT IN CHARGE OF CONTRACTS

1. A claim referred to in Article 37 of these Regulations, shall, in the first instance be submitted to the Head of the Department in charge of contracts.
2. Notwithstanding paragraph 1, if a claim referred to in Article 37 of these Regulations is based on an act or decision taken directly by the Head of the Department in charge of contracts, the claim shall be submitted to the Agency's Industrial Ombud pursuant to Article 39 of these Regulations.
3. The Head of the Department in charge of contracts shall not entertain a claim, unless it was submitted within the time limits set out under Article 37 of these Regulations.
4. Unless the claim is resolved by mutual agreement, the Head of the Department in charge of contracts shall, within 15 (fifteen) calendar days after receiving the claim, issue a written decision to the claimant. The decision shall:
 - a) state the reasons for the decision; and
 - b) if the claim is upheld in whole or in part, indicate the corrective measures that are to be taken.

5. If the Head of the Department in charge of contracts does not issue their decision within the time limit specified under paragraph 4, the claimant is entitled within 10 (ten) calendar days thereafter to submit the claim to the Agency's Industrial Ombud pursuant to Article 39 of these Regulations.

Upon submission of the claim to the Agency's Industrial Ombud, the competence of the Head of the Department in charge of contracts to entertain the claim ceases immediately.

6. The decision of the Head of the Department in charge of contracts referred to in paragraph 4 shall be final, unless it is challenged by the claimant.
7. Within 10 (ten) calendar days from receiving the decision of the Head of the Department in charge of contracts, the claimant shall notify the Head of the Department in charge of contracts in writing of their intention to challenge the decision and shall submit the ensuing claim in writing to the Agency's Industrial Ombud.

ARTICLE 39 – REVIEW BY THE AGENCY'S INDUSTRIAL OMBUD

1. The Agency's Industrial Ombud established under Article 35 of these Regulations is competent to entertain claims submitted in application of Article 38 of these Regulations.
2. The Agency's Industrial Ombud shall not entertain a claim unless it is submitted within the time limits set out under Articles 37 and 38 of these Regulations.
3. The Agency's Industrial Ombud shall, within 15 (fifteen) calendar days after submission of the claim, issue a written recommendation simultaneously to the Head of the Department in charge of contracts and the claimant. When the claim is submitted after Contract award, this period shall be extended to 25 (twenty-five) calendar days. The recommendation shall:
 - a) when taken in application of Articles 38, paragraph 2 and 38, paragraph 5 of these Regulations:
 - i. state the reasons for the recommendation; and
 - ii. indicate the corrective measures that should be taken by the Agency should the recommendation propose to uphold the claim in whole or in part.
 - b) when taken in application of Article 38, paragraph 7 of these Regulations, the recommendation shall provide reasons and either:
 - i. confirm the initial decision taken by the Head of the Department in charge of contracts under Article 38, paragraph 4 of these Regulations; or
 - ii. indicate the corrective measures that should be taken by the Agency should the recommendation propose to uphold the claim in whole or in part.

4. The Head of the Department in charge of contracts shall, within 15 (fifteen) calendar days from receiving the recommendation, issue a written decision to the Agency's Industrial Ombud and the claimant.
5. The decision of the Head of the Department in charge of contracts referred to under paragraph 4 shall be final, unless it is challenged by the claimant.
6. Within 7 (seven) calendar days from receiving the decision of the Head of the Department in charge of contracts referred to under paragraph 4, the claimant shall notify in writing the Head of the Department in charge of contracts of their intention to challenge the decision and shall submit their claim in writing to the Chair of the Procurement Review Board established pursuant to Article 40 of these Regulations. When the claim is made after Contract award, this period shall be of 15 (fifteen) calendar days.

ARTICLE 40 – THE PROCUREMENT REVIEW BOARD. ESTABLISHMENT AND PROCEDURE

Establishment

1. The Procurement Review Board shall be competent to review decisions taken by the Agency in application of Article 39, paragraph 4 of these Regulations.
2. The Procurement Review Board shall consist of 6 (six) members external to the Agency with proven legal and practical experience in the field of public procurement. Members of the Procurement Review Board shall not be staff members of the Agency, members of delegations of Member States, Associate Members or Cooperating States. The members of the Procurement Review Board shall designate a Chair and deputy Chair from among their number.
3. The members of the Procurement Review Board shall be nominated by Council for a period of 3 (three) years, once renewable. 2 (two) members shall be nominated upon proposal by the Director General, 2 (two) members shall be nominated upon proposal by industry out of which 1 (one) shall be proposed by SMEs and 2 (two) members shall be nominated upon proposal by the Chair of the Industrial Policy Committee.

Former members may further be considered for nomination by Council after a period of non-eligibility of 18 (eighteen) months starting from the end date of the previous nomination period(s).

Should a member's period of appointment end during the examination of a case by the Procurement Review Board, that period of appointment shall be automatically extended by the period of time necessary for the Procurement Review Board to deliver its decision on the case under examination and this without further need for a decision by Council on their extension. Council shall be informed of such occurrences.

4. The members of the Procurement Review Board shall not seek or accept instructions from anyone whatsoever, nor shall they participate in any capacity whatsoever in activities involving the Agency other than the present ones.

5. The members of the Procurement Review Board shall enjoy the privileges and immunities provided for in Article XVII of Annex I to the Convention.
6. The members of the Procurement Review Board shall be financially compensated by the Agency for their activities.

Procedure

7. The Procurement Review Board shall not entertain a claim unless it is submitted within the time limits set out under Article 39, paragraph 6 of these Regulations.
8. Records of the challenged process shall be disclosed to the Procurement Review Board when required.
9. The decision of the Procurement Review Board shall be taken within 15 (fifteen) calendar days after the submission of the claim. When the claim is made after Contract award, this period shall be extended to 45 (forty-five) calendar days.

Where the Procurement Review Board considers it necessary, the above periods of 15 (fifteen) and 45 (forty-five) calendar days may each be extended further by a maximum period of 15 (fifteen) calendar days.

10. The Procurement Review Board shall ensure that:
 - a) the parties participating in the review can be heard before a decision is reached;
 - b) the parties participating in the review can be represented by external counsel or accompanied by a person of their choice;
 - c) the parties participating in the review shall have access to all the evidence submitted to the Procurement Review Board; and
 - d) the hearing shall take place in public. Any exception shall be laid down in the Implementing Instruction concerning the Agency's Procurement Review Procedure.
11. The decision of the Procurement Review Board shall be issued in writing and shall state the basis and reasons for the decision. It shall be final and binding on the parties.
12. Where the decision of the Procurement Review Board upholds the decision of the Agency, the costs incurred by the claimant shall not be reimbursed.
13. The Agency shall bear its own costs unless the Procurement Review Board finds that the claimant was not acting in good faith.

ARTICLE 41 – COMPENSATION

Where, as a result of the review procedure provided for under Part VII of these Regulations, a final and binding decision grants compensation to the claimant for the loss or damages suffered due to a procedural breach of these Regulations by the Agency, such compensation shall in all cases be limited to the cost for tender preparation and the costs incurred for the review proceedings within the limit of 120,000 (one hundred and twenty thousand) euros.

In no event shall the Agency be held liable for payments in excess of 120,000 (one hundred and twenty thousand) euros for compensation granted under these Regulations.

PART VIII

ADMINISTRATIVE AND OTHER PROVISIONS

ARTICLE 42 – PUBLIC ACCESS TO THE CONTRACTING REGULATIONS

1. These Regulations, including its Annexes shall, be published in the Agency's electronic medium dedicated to tendering and shall remain readily accessible to the public.
2. These Regulations, including its Annexes shall be kept up-to-date. Any modifications shall be published promptly and notification of them shall be provided in the Agency's electronic medium dedicated to tendering.

ARTICLE 43 – LANGUAGES OF THE TENDER ACTION

1. Open and restricted Invitations to Tender and Calls for Proposals which have been the subject of a submission to the Industrial Policy Committee in accordance with Article 14 of these Regulations shall normally be issued in English and in French.
2. Tender Actions which have not been the subject of a submission to the Industrial Policy Committee in accordance with Article 14 of these Regulations shall normally be issued in English.

Tender Actions shall be made available in French at the request of any Potential Bidder who requires them within 10 (ten) calendar days following publication. Such requests shall not constitute a case for the extension of the time limits established under Article 21 of these Regulations.

3. If Tender Actions are restricted to potential Tenderers in one country, the language of that country may be used by the Agency at its sole discretion.

ARTICLE 44 – USE OF ELECTRONIC TOOLS

1. The electronic tools used for the publication of Tender Actions and for the submission of tenders and proposals and their technical characteristics shall be non-discriminatory in nature, generally available and interoperable with the information and communication technology products in general use.

The information relating to the specifications required for presentation of tenders and proposals including encryption, shall be made available to Tenderers free of charge.

2. Devices for the electronic receipt of tenders and proposals shall at least guarantee, through technical means and appropriate procedures, compliance with the following requirements:
 - a) electronic signatures/identifiers relating to tenders or proposals shall be attributed by the Agency;
 - b) the exact time and date of the receipt of tenders or proposals can be determined precisely;

- c) they must reasonably ensure that, before the time limits laid down, no one can have access to data transmitted under these requirements;
 - d) if the access prohibition referred to in sub-paragraph c) is infringed, it may be reasonably ensured that the infringement is clearly detectable;
 - e) only authorised persons may set or change the dates for opening data received;
 - f) during the different stages of the procedure, access to all data submitted, or to part thereof, must be possible only through simultaneous action by authorised persons;
 - g) simultaneous action by authorised persons must give access to data transmitted only after the prescribed date;
 - h) data received and opened in accordance with the requirements set out under this paragraph must remain accessible only to persons authorised to acquaint themselves therewith;
 - i) data received and opened in accordance with the requirements laid down in this paragraph must remain readily accessible for a minimum of 12 (twelve) months or until the time for review set out under Part VII of these Regulations has elapsed, whatever may be sooner.
3. The Agency may provide any training required and remote support for the Potential Bidders to be acquainted with the utilisation of the electronic tools.

ARTICLE 45 – RECORDING OF THE PROCESS AND AUDIT

1. The Agency shall maintain a record for each individual Tender Action. Such records shall be kept in the Contract File and shall contain, as a minimum, the following information:
- a) a brief description of the subject of the Tender Action;
 - b) the procedure followed and, for restricted or non-competitive tender, the basis for the tender procedure;
 - c) any requests for clarification of the Solicitation Documents, the responses thereto, as well as any modification of those documents;
 - d) the names of Tenderers that submitted tenders or proposals in response to the Tender Action and the price, or (co-)funding in a Cooperative Agreement and, with the exception of General Procurement Contracts, the geographical distribution of each tender and proposal;
 - e) the tender evaluation report comprising, as a minimum:
 - i. the evaluation and ranking of tenders and proposals, including the quoted price(s) or (co-)funding in a Cooperative Agreement and application of any weighting factors and resulting marks;

- ii. the name of the Tenderer recommended for Contract or Cooperative Agreement award together with its quoted price, or (co-)funding in a Cooperative Agreement;
 - f) the record of any consultation and/or Negotiation held with Tenderers in the course of the proceedings prior to the award and placing of the Contract or Cooperative Agreement;
 - g) if the proceedings did not result in a Contract or Cooperative Agreement, a statement to that effect and of the grounds therefor;
 - h) for each tender or proposal rejected a statement to that effect, including the information required under Article 33 of these Regulations;
 - i) any submission(s) made to the IPC or AFC in application of these Regulations;
 - j) a copy of any resulting Contract(s) or Cooperative Agreement(s),
 - k) the reason for waiving competitive tendering, if applicable.
2. The statement referred to under paragraph 1.h) shall, on written request and following the official notification of rejection by the Agency, be made available in writing to the Tenderer whose tender or proposal has been rejected.
 3. In the written notification issued by the Agency of the outcome of the Tender Action provided for under Article 33 of these Regulations, the portion of records referred to in paragraph 1.e) pertaining to an individual tender or proposal shall be made available to the Tenderer.
 4. Disclosure of the information referred to under paragraph 1 may be requested at any stage of a Tender Action by the Agency's Industrial Ombud and the Procurement Review Board in the framework of the review procedure set out under Article 36 of these Regulations.
 5. In application of Article 14 of these Regulations, any delegation of a Member State, Associate Member or Cooperating State may, in a specific case, ask for a summary of the tender evaluation report referred to in paragraph 1.e) which solely concerns a Tenderer considered to belong to that State.
 6. The Agency shall not be liable to Tenderers for damages owing:
 - a) solely to a failure to maintain a record of the Tender Action in accordance with this present Article; or
 - b) to disclosure by a recipient of the information provided pursuant to paragraphs 4 and 5 above.
 7. The implementation of these Regulations, and any internal instructions established by the Director General to ensure their proper execution and the subsequent placing of Contracts or Cooperative Agreements, shall be subject to auditing by the Audit Commission in accordance with the Convention.

ARTICLE 46 – IMPLEMENTING INSTRUCTIONS

1. The Director General shall, where required and as necessary, issue instructions for the implementation of these Regulations. Such instructions shall be notified to the Industrial Policy Committee.
2. The instructions referred to in paragraph 1 shall always be taken in compliance with the principles set forth in these Regulations.

ARTICLE 47 – GLOSSARY AND DEFINITIONS

For the application of these Regulations, the following definitions and interpretation shall apply:

Appointing Authority	Acting under the authority of the Director General, the Head of the Department in charge of contracts, or a staff member of the Department in charge of contracts to whom the authority to appoint the Tender Evaluation Board has been delegated by the Head of the Department in charge of contracts.
Call for Proposals	A method of tendering and a formal communication, limited in time, or not, for inviting Economic Operators to submit proposals at their own initiative, with or without the Procurement of goods or services by the Agency.
Competitive Dialogue	A specific two-stage Tender Action where the Agency in the first stage prequalifies and then invites shortlisted Economic Operators to participate in the second stage of the Tender Action during Negotiation and Dialogue meetings where any aspects of the Procurement may be discussed and solution developed and where at the end of which those Economic Operators are invited to submit a best and final proposal.
Contract	An agreement established in writing, the subject of which is the delivery of goods, the rendering of services or any activities carried out for the Agency in exchange for a price or another consideration, including any amendment to such an agreement (Change Notice, Rider).
Contractor	A Tenderer who has entered into a Contract with the Agency. References to a Contractor in these Regulations shall be deemed to refer also to a Partner, except where otherwise indicated.
Contract File	The minimum set of information required under these Regulations on any given individual Tender Action to be maintained by the Department in charge of contracts in whatever format.
Contract Proposal	A submission to the Industrial Policy Committee pursuant to Article 31 of these Regulations for approval to place a Contract or Cooperative Agreement with a recommended Tenderer or an amendment to a Contract or to a Cooperative Agreement.

Cooperating State	A member State of the European Union, or Canada, having a cooperation agreement in force with the European Space Agency.
Cooperative Agreement	An agreement, including any amendment to such agreement, resulting from a Call for Proposals without Procurement, established in writing between the Agency and a Partner, whereby the Agency shall (co-)fund an activity to be carried out by the Partner, without the Procurement by the Agency of the resulting goods or services.
Contest	A method of tendering which enables the Agency to encourage the submission of innovative solutions, after a competitive procedure with the award of a prize in the form of a financial or in-kind contribution and potentially, the subsequent award of a Contract or a Cooperative Agreement.
Dialogue	An iterative process specific to Competitive Dialogue which consists of documented exchanges between the Agency and one or more Tenderers for the purpose of defining the specifications, and which may result in a modification of the minimum requirements of the Tender Action.
Economic Operator	Any natural or legal person or public entity or group of such persons and/or bodies which offers on the market, respectively, the delivery of goods and services.
EXPRO Contract	Self-contained standard Contract, embedding within its body the parts of the General Clauses and Conditions for ESA Contracts (ESA/REG/002) in its latest version which are relevant to Tender Actions of a value not exceeding the threshold set out in Article 14 paragraph 1 c) of these Regulations.
General Procurement	A Procurement, the subject of which is not the delivery of goods or the rendering of services for the Agency's research, experiment, study or development activities, and/or infrastructures built for mission operations.
Initiating Service	The service under the Director General (usually a Division) which has the direct financial responsibility for the activity which forms the subject of the Tender Action and which has been delegated in accordance with the Agency's internal instruction the right to initiate and approve ESA internal acts leading to Tender Actions.
Invitation to Tender	A formal communication to Economic Operators containing the conditions for submission, together with specifications and requirements and inviting them to submit tenders for a Contract.
Negotiation	An iterative process consisting of documented exchanges between the Agency and one or more Tenderers for the purpose of improving the tenders or proposals, and which may not result in a modification of the minimum requirements of the Tender Action.

Partner	A Tenderer that has entered into a Cooperative Agreement with the Agency.
Potential Bidder	An Economic Operator that has registered with the Agency.
Procurement Proposal	A submission to the Industrial Policy Committee pursuant to Article 14 of these Regulations for approval to issue an Invitation to Tender or a Call for Proposals with Procurement or an amendment to a Contract.
Procurement	The acquisition of goods (including construction) or services, by the Agency.
Purchase Order	A purchasing method which may be used for the Procurement of standard goods and services available on the market, or that may be readily adapted to meet the Agency's requirements, including amendments and follow-on Purchase Orders related to the same subject of Procurement.
Representatives for the Call	Has the meaning ascribed to it in Article 9, paragraph 3 and in Article 10, paragraph 8 of these Regulations.
Solicitation Documents	Any document produced or referred to by the Agency to describe elements of the Tender Action, including, where applicable, but not limited to: i. cover letter; ii. statement of work; iii. tender conditions; iv. draft contract; v. proposal template.
Subcontractor	An Economic Operator that is under contract to a Contractor or a Partner of the Agency to provide goods or services in support of that Contract or Cooperative Agreement.
Tenderer	An Economic Operator that has submitted a tender or a proposal (this excludes an Economic Operator that shall provide goods or services in support of the Tenderer in the framework of a Contract placed by the Agency).
Tendering Body	A public body (including international organisations) acting as potential Contractor.
Tender Action	All solicitations for Calls for Proposals and Invitations to Tender, including Open Competitive Tenders, Restricted Competitive Tenders, Non-Competitive Tenders, and Contests managed by the Department in charge of contracts. A Tender Action does not include the preliminary stage of a Call for Proposals.
Tender Evaluation Board	A board appointed by the Director General to review the content of the Tender Action Solicitation Documents prior to their publication

	and to evaluate admitted tenders and proposals in response to said Tender Action.
Tender Opening Board	A board appointed by the Director General to decide on the admissibility of tenders or proposals received.
Tender Process	The part of the Tender Action up to and including the award of a Contract or Cooperative Agreement by the Agency.
Time Periods and their Calculation	When a time period is set in these Regulations and their Annexes to be “within” a defined period of years, months, working days or calendar days, the day after the start date shall be counted as the first date in the calculation of the end date (e.g. if a start date is 1 June then this day counts as “day 0” and 2 June counts as “day 1” in the calculation of the end date). When the calculated end date of a time period is a Saturday, Sunday or a bank holiday in the country in which a performance is required, the next working day shall be the last date of the time period.”
Determination of (co-)funding thresholds	When a financial value is mentioned in these Regulations, it is meant to correspond to the Agency’s contribution for a given Tender Action, and shall not include the non-ESA financial (co-)funding from the Economic Operator or third party.

ARTICLE 48 – AMENDMENTS

These Regulations may be amended by Council on the recommendation of the Industrial Policy Committee and of the Administrative and Finance Committee.

ARTICLE 49 – ENTRY INTO FORCE

These Regulations shall enter into force on 1 January 2025, at which time they will replace and supersede Revision 5 of ESA/REG/001.

ANNEXES

Annex I: Implementing Instruction concerning the ESA Industrial Cost Audit (Rev. 3)

Annex II: Implementing Instruction concerning the Nationalities of Companies Audits (Rev. 1)

Annex III: Implementing Instruction concerning the European Space Agency’s Procurement Review Procedure

ANNEXES

IMPLEMENTING INSTRUCTIONS

ANNEX I

IMPLEMENTING INSTRUCTION CONCERNING THE ESA INDUSTRIAL COST AUDIT

(Article 3.5 of these Contracting Regulations)

Revision 3 of this Annex modifies Article 4

In accordance with Article 46 of these Contracting Regulations, the Director General established this Implementing Instruction. This Implementing Instruction has been approved by the ESA Industrial Policy Committee during its 317th Meeting held on 15 April 2019 (ESA/IPC(2019)14, rev. 1)

INDEX

Preface

Article 1 Rationale and Scope of ESA audits

Article 1.1 Industrial rates and overheads

Article 1.2 Cost reimbursement / Ceiling Price to be converted into a fixed price Article

1.3 Co-funding

Article 1.4 Financial viability

Article 2 Audit Methodology

Article 2.1 Yearly audit plan

Article 2.2. Audit Announcement and data to be provided by audited companies

Article 2.3 Audit steps

Article 2.3.1 Rates Audit

Article 2.3.2 Audit of contracts based on cost reimbursement, co-funding and ceiling price
to be converted into fixed prices

Article 2.3.3 Financial viability audit

Article 3 Multiyear rate agreements in rate audits

Article 3.1 Updating method

Article 4 Applicability of new rates

Article 5 Applicability of ESA audit process for third-party-funded programmes

Article 6 Cooperation with National Audit Authorities

ANNEX A

EXAMPLE DOCUMENTATION TO BE PROVIDED FOR ESA AUDITS

Examples of documentation to be provided for Rate Audits ANNEX A.1

Examples of documentation to be provided for audits of contracts based on cost reimbursement, ceiling price to be converted to fixed price and co-funding

Preface

The Contracting Regulations' Article 3, paragraph 5 states that "At the discretion of the Director General, industrial cost² and rates audits may be carried out at any time prior or subsequent to the award of a Contract or Cooperative Agreement. The conditions under which these audits shall be carried out, the exceptions, frequency, and validity period during which the rates shall be binding, shall be established by means of an Implementing Instruction (Annex I to these Regulations)."

This Implementing Instruction explains the conditions and processes necessary to carry out the audits, which will be mainly oriented to the major suppliers in the area of space and ground segment.

Article 1 Rationale and Scope of ESA audits

The objective of ESA cost audits is to obtain evidence that the costs to be recovered, based on rates, overheads and other direct costs, are both reasonable and allowable, in accordance with the principles set forth in Annex 1 as amended by subsequent revision(s) of the General Clauses and Conditions for ESA Contracts (GCC).

Article 1.1 Industrial rates and overheads

The aim of the ESA audits related to industrial manpower, facility and other overhead rates such as the General Administrative and Subcontractor overheads is to reach an agreement with the audited company on fixed rates for a two to three year forward- looking period (hereafter referred to as "rates"). The audit process ensures that costs included in the rate calculation are not double-counted by inclusion in other non-labour charges recorded as direct costs against contract cost.

The establishment of rates is not a pre-requisite for doing business with ESA. However for the major suppliers dealing with ESA on a regular basis it is an important step in the industrial bidding process for ESA tenders, facilitating ESA and industry, at any time and in advance of any individual tender, to contribute to an efficient and smooth procurement process, reducing questions on rates each time the company participates in a tender process. The approved rates are also taken into account for cost claims and for post calculation in the framework of a cost reimbursement contract.

Article 1.2 Cost reimbursement / Ceiling Price to be converted into a fixed price

The aim of a cost reimbursement audit is to ensure that the costs to be recovered by means of the application of rates are both reasonable and allowable, in accordance with the principles set forth in Annex 1 as amended by subsequent revision(s) of the General Clauses and Conditions for ESA Contracts (GCC).

² in accordance with the provisions of article 4.1

Such audits will allow, in particular, understanding and verifying the costs which are allocated through manpower and internal facility rates via a time recording system, the indirect charges as well as other direct costs (purchases) which are directly charged to the contract by means of an invoice. Furthermore, all charges must be assessed to be in pursuit of the contract's performance and deemed to be reasonable in both cost and volume, be they direct costs or manpower hours charged at the agreed rates.

Article 1.3 Co-funding

The aim of the co-funding contracts audit process is similar to that for cost reimbursement contracts. An additional and important factor is to clearly establish that the company own-funded part, typically 50% or 25% of the total cost, can be verified based on the rules approved by the Member States for the co-funding contracts.

Article 1.4 Financial viability

The aim of a financial viability audit is to protect the Agency against placing contracts with companies facing potential insolvency that may not be able to deliver on their part of the contract due to financial constraints.

Article 2 Audit Methodology Article 2.1 Yearly audit plan

The ESA Industrial Auditing and Contracts Controlling Division establishes a yearly audit plan with a description of the companies to be audited and a target audit date. For industries located in Member States having National Audit Authorities the plan will be established in coordination with the national authorities (where relevant). The audit plan includes rate audits, cost reimbursement audits, and co-funding audits and is approved by the Head of the Procurement Department.

Once a company is included in the yearly audit plan, within the context of the Contracting Regulations, Article 3, paragraph 5 , the audit is considered firmly planned and shall be conducted as scheduled.

The IPC will be informed on a regular basis of the execution of the audit plan, including possible updates.

Article 2.2. Audit Announcement and data to be provided by audited companies

Once included in the audit plan, the audit is announced to the company by letter. In this letter the company is requested to provide the relevant ESA auditor with the information and supporting documents required, in view of the scope of the audit.

Annex A of this Implementing Instruction contains a non-exhaustive list of documents requested prior to the conduct of the audit usually readily available from the company's accounting and cost control systems.

Article 2.3 Audit steps

The following steps will be performed by the ESA auditor when conducting a cost audit with the collaboration of the audited companies.

Article 2.3.1 Rates Audit

- 1.1. Profit & Loss reconciliation to the total cost and the establishment of the total cost base to be recovered via the hourly rate.
- 1.2. Determination of sellable/ non sellable cost centre structure (direct/indirect).
- 1.3. Identification of total hours base per cost centre.
- 1.4. Identification of mechanism for allocating overheads to cost centres.
- 1.5. Verification of allowability of cost included in the total cost base in accordance with the principles set forth in Annex 1 of the GCC.
- 1.6. Evaluation of productivity (ratio of sellable hours to total hours) per cost centre and evaluation of indirect charges per cost centre.
- 1.7. Negotiation and establishment of rates for the current year.
- 1.8. Establishment of the forward-looking rates for the next two years in accordance with the principles set forth in article 3 of this Implementing Instruction.

Article 2.3.2 Audit of contracts based on cost reimbursement, co-funding and ceiling price to be converted into fixed prices

- 1.1. Identification of elements charged to the Contract (hours, materials, etc).
- 1.2. Verification of the correct application of ESA-audited rates.
- 1.3. Identification and verification of the audit sample.
- 1.4. Verification of the charges of hours and cost to the contract in accordance with the principles set forth in Annex 1 of the GCC.
- 1.5. Application of relevant deductions against previously invoiced amounts.

Article 2.3.3 Financial viability audit

This type of audit follows a number of quantitative methodologies in widespread use including standard ratio analysis and financial capability models.

An in-depth review of the trading environment, company structure and business projections will also be necessary.

Article 3 Multiyear rate agreements in rate audits

The rates agreed in the framework of rate audits are established for the specific audited year, and also for the following two years, these are referred to as “forward-looking rates”.

Article 3.1 Updating method

The forward-looking rates are established based on the agreed rate for the current year, and updated taking into account the following elements:

- 1.- Forward-looking macroeconomic indicators (inflation, salary forecast, material costs);
- 2.- Expected company productivity targets;
- 3.- Fluctuations in forecast business volume (institutional and commercial, space and non-space) for the audited companies.

Article 4 Applicability of new rates and provisional rates

Where new rates and provisional rates are established in accordance with Section 5 of Annex I to the “General Clauses and Conditions for ESA Contracts” ESA/REG/002, at its latest revision, such rates shall be used in any subsequent tender submitted to the Agency irrespective of the type of contract price required.

Article 5 Applicability of ESA audit process for third-party-funded programmes

ESA will propose to partner organisations that it applies its policy of audited rates and overheads as an integral part of its audit, internal control and procurement standards, so as to understand and negotiate industrial proposals/contracts.

Article 6 Cooperation with National Audit Authorities

In the cases, when ESA auditors themselves do not perform the rate audit, the ESA rate will be derived from the hourly rate established by the National Audit Authority that conducted the audit of the specific company, modified to accommodate the ESA principles of allowability of cost.

ESA proposes the convening of meetings between ESA auditors, national authority auditors and the company concerned to review the relevant details and agree - in the event that national rules differ from ESA rules - on the adjustments required, in order to ensure a fair and equal treatment of all companies doing business with ESA.

If so requested for by a Member State, the coordination aspects between ESA and the National audit authorities could be discussed with and agreed between both parties on the

basis of the governing principles as listed in Art 3, paragraph 1 of the Contracting Regulations.

Detailed procedures, methods and roles on audit conduct by National audit Authorities (covering amongst others the steps described in Art. 2.2, Art. 2.3.1, and Art. 2.3.3, and based on the principle of no duplication of audits) could also be agreed upon.

ANNEX A

EXAMPLE DOCUMENTATION TO BE PROVIDED FOR ESA AUDITS

Examples of documentation to be provided for Rate Audits

1 GENERAL FINANCIAL AND ORGANISATIONAL DOCUMENTATION

1.1. Published Statutory Accounts / Audited Financial Statements

1.2. Detailed Profit & Loss accounts.

1.3. Reconciliation of Profit & Loss accounts to the Total Cost Base claimed through the rates and – where relevant - to the total materials and total services base for material and subcontractor overhead calculations.

1.4. Organisation chart.

2 DETAILED RATE PROPOSAL DOCUMENTATION

2.1. The company's own proposed rate calculation model for the relevant reference years.

2.1.1. Explanation of the year-by-year rate variations quoting, inter alia, the impact of inflation, average salary increases, investments, changes in productivity and business volume variations.

2.1.2. Cost centre list, by legal entity, if relevant, and by cost centre type (direct/indirect / partly direct/partly indirect). The list should indicate the allocation of cost centres to the various rates (G&A, handling of materials and subcontractors or other allocated costs).

2.1.3. For each direct cost centre: direct salary, social and pension charges (e.g. Senior Engineers, Engineers, Junior Engineers), other allocations from overheads, headcount expressed in full time equivalent (FTE) and the actual/forecast sellable hours versus available hours i.e. productive time (standard hours contracted/head e.g. 52 weeks at 40 hrs/week, less holidays, sickness, training, etc.), and treatment of overtime.

2.1.4. For each indirect cost centre: salary, social & pension charges by function e.g. CEO, Finance, HR, etc, or other allocated costs.

2.1.5. Facility rates: value, content (e.g. manpower / depreciation / utilities) and allocation mechanism / rates.

2.1.6. G&A: value, content (e.g. G&A cost centres) and allocation mechanism if not already explicitly covered in point 2.1.4.

2.1.7. R&D: value, content (e.g. list of projects) and allocation mechanisms broken down into own-funded R&D, own-funded and co-funded product development.

2.1.8. Material and sub-contractor overhead: value, content (e.g. dedicated

cost centres), allocation mechanisms, including the methodology for possible intra-company (multinationals / subsidiaries & legal entities) work allocation (arm's length principle applied?).

2.1.9. Corporate or Head Office charges: value, content (e.g. nature of charges) and allocation mechanism if not already explicitly covered in 2.1.4.

2.1.10. Interest charges / financial costs / leasing costs and their allocation mechanism if not already explicitly covered in 2.1.4.

2.1.11. Company investment / depreciation policies (both for financial and cost accounting, if different) and – where relevant – the accounting treatment of investments not owned by the company.

2.1.12. Company travel policy including rules for recording travel time in terms of sellable or non-sellable hours.

3 ESCALATION OF PROPOSED RATE

3.1. Latest Mid-Term Plan explaining the company's future assumptions and estimations (e.g. macroeconomic and business outlook influencing future activity levels and staff evolution; if relevant, restructuring or rejuvenation costs; mergers & acquisitions; etc.).

3.2. Proposal for escalation of the company rates in the subsequent 3 years, and reconciliation to macroeconomic forecasts (i.e. inflation) and productivity improvements.

Examples of documentation to be provided for audits of contracts based on cost reimbursement, ceiling price to be converted to fixed price and co-funding:

1. The relevant rates, provided all the above mentioned necessary supporting data is made available to the ESA auditor.
2. Summary Cost Reports for the relevant period in PSSA2 format, by Work Package, in accordance with contract requirements.
3. Detailed transaction listings, drawn from the companies own accounting and time-recording system.
4. A reconciliation of 2 & 3 above.
5. Highlighted Samples from the listings in 3 above sent to the company.
6. Audit file prepared by the company with original travel vouchers and receipts, timesheets and purchase orders, matched to the requested sample.

ANNEX II

IMPLEMENTING INSTRUCTION CONCERNING THE ESA NATIONALITY OF COMPANIES AUDITS

(Article 3, paragraph 6 of these Contracting Regulations)

In Accordance with Article 46 of these Contracting Regulations, the Director General established this Implementing Instruction. The ESA Industrial Policy Committee took note of this Implementing Instruction during its 254th meeting held on 28-29 September 2009 (ESA/IPC(2009)98, corr. 1).

INDEX

PREFACE

ARTICLE 1: RATIONALE OF ATTRIBUTION OF NATIONALITY TO COMPANIES FOR GEOGRAPHICAL RETURN PURPOSES AND CONDUCT OF RELEVANT AUDITS

ARTICLE 2: AUDIT METHODOLOGY

Article 2.1: Authority to request a nationality audit Article 2.2: Audit Plan

Article 2.3: Audit Announcement and data to be provided by audited companies

Article 2.4: Audit steps

Article 2.4.1: Location of the registered office

Article 2.4.2: Location of the decision making centres

Article 2.4.3: Location of research centres

Article 2.4.4: Territory on which the work is carried out

ARTICLE 3: AUDIT PROCESS

ARTICLE 4: ENTRY INTO FORCE

PREFACE

The Contracting Regulations Article 3, paragraph 6 states that “At the discretion of the Director General, audits may be carried out at any time to check whether an Economic Operator complies with the requirements set under Article II.3 of Annex V to the Agency’s Convention. The conditions under which these audits shall be carried out shall be established by means of an Implementing Instruction (Annex II to these Regulations).”

In relation to the nationalities of companies, the ESA contract award procedure presently applied covers a two-step approach. Firstly, when a new company expresses interest to present a bid on tenders issued by ESA, the company is requested to be registered as a potential bidder. This registration process includes the requirement for the company to declare its nationality. Secondly when a company is awarded with an ESA contract, the contract is accounted against the nationality of the company as initially declared by the company.

During both steps an audit can be initiated in case where there are reasonable doubts for ESA on the nationality declared by the company in relation to the criteria laid down in the ESA Convention.

This implementing instruction explains the conditions and processes necessary to carry out the audits of the nationality of companies.

ARTICLE 1: RATIONALE OF ATTRIBUTION OF NATIONALITY TO COMPANIES FOR GEOGRAPHICAL RETURN PURPOSES AND CONDUCT OF RELEVANT AUDITS

One of the main orientations governing the ESA industrial policy is the geo-return principle which enables the Executive to conduct and implement an effective European Space programme. This policy is based on all ESA Member States participating – having due regard to their financial contribution - in an equitable manner to the successful creation of a strong and competitive European industrial base for space activities.

In order to provide for an equal and transparent treatment of all companies and furthermore to ensure an effective and accurate reporting on the industrial return statistics to the Member States, the objective of ESA audits in relation to the nationality of companies, is to be assured or alternatively obtain evidence that an enterprise can effectively be considered to belong to specific ESA Member States, allowing as such the (parts of the -) contracts awarded to this company to be counted as realised industrial return for those specific Member States . The Article II.3 of Annex V to the ESA Convention lays down the following 4 main criteria in order to determine the nationality of a company:

Criteria 1: Location of the enterprise registered office

Criteria 2: Location of decision-making centres

Criteria 3: Location of research centres

Criteria 4: Territory on which the work is carried out

Additional evaluation elements can be set in specific cases (e.g. for the industrial contracts of the Guiana Space Centre), and duly reported in procurement and/or audit documentation. With respect to the above criteria it is recalled that the Convention describes that in doubtful

cases the ESA Council shall decide whether an enterprise shall be considered to belong to one of the Member States, or not. For this specific task the Council has empowered the IPC, in accordance with section 7(a) of the IPC Terms of Reference (ESA/C/CLX/Res.1 (final))

This implementing instruction formalises the Agency's audit methodology, procedure and approval process to establish the nationality of companies.

ARTICLE 2: AUDIT METHODOLOGY

ARTICLE 2.1: Authority to request a nationality audit

The audit on the nationality of a company may be initiated at the request by / initiative of one of the following parties:

The Member State having reasonable doubts on the nationality of the company and for which the ESA commitments to the company concerned are computed against its industrial return,

The company, in whose opinion ESA is not considering its nationality correctly and which therefore considers that such might have effects on its ability to bid for certain procurements,

ESA, when it decides to verify / re-assess the industrial reality as compared to the 4 basic criteria (plus the additional elements) set for the company as a whole and/or for specific work-packages contracted.

ARTICLE 2.2: Audit Plan

On the basis of the requests made by any of the parties listed in Article 2.1 above, a three-year audit plan will be proposed by the Industrial Cost Audit and Contracts Controlling Division. Such plan will be subsequently presented to and approved by the Head of Procurement Department and the Director of Resources Management and Industrial Matters. Once the annual audit plan has been approved the plan will be presented to the IPC for information. Progress reports on the conduct and outcome of the audits as well as revisions to the audit plan will be presented to the IPC on a regular basis.

The audit plan will specify whether the audit concerns a nationality audit on the company as a whole or whether the audit relates to pre-identified work packages and/or cost elements of contract prices.

ARTICLE 2.3: Audit Announcement and data to be provided by audited companies

Following the inclusion in the approved audit plan, the company will be informed by letter of the intended audit. In this letter the company is requested to provide the relevant ESA auditor with the information and supporting documents required relevant to the scope of the audit.

Article 2.4 of this Implementing Instruction contains a non-exhaustive list of documents requested prior to the conduct of the audit.

ARTICLE 2.4: Audit steps

For each of the criteria set in Article II.3 of annex V to the ESA convention and recalled in Article 1 above, the following reviews will be performed by the ESA auditor when conducting a nationality of company audit such with the collaboration of the audited companies:

ARTICLE 2.4.1: Location of the registered office

The Company's legal registration documentation will be reviewed as it has been presented to and validated by the respective national authorities. In addition the Company will be requested to provide the annual published company financial statements over the preceding 3 years.

ARTICLE 2.4.2: Location of the decision making centres

The company will be requested to provide the most recent organisational chart of the company including an overview of the shareholder structure of the mother companies and subsidiaries. With respect to the specific space related activities, the Company will be requested to provide further evidence on the decision making process and on the level of autonomy for the legal entity concerned on matters concerning the business line / company segment dealing with space activities.

ARTICLE 2.4.3: Location of research centres

The company will be requested to provide an overview of the location of the research centres dealing with space related research activities and in particular on the interaction between the research centre and the location where the actual development and/or production / manufacturing / assembly works takes place.

ARTICLE 2.4.4: Territory on which the work is carried out

The company will be requested to provide evidence where the work is actually performed. Such evidence may vary depending on whether the review relates to the determining the nationality of the company as a whole, or whether it concerns a review on specific work packages. The audit evidence requested by the ESA auditor will be tailored to the scope of the audit, but could include elements such as corporate income taxes, and/or social security contribution related payments. In the case the scope of the audit would be a review on the location of where specific work packages are effectively performed, proof from the company's accounting records could be requested.

In the case where the legal entity's cost structure is heavily burdened by costs / charges originating from related companies located in other countries, evidence may be requested on the content / purpose of such costs / charges.

Further reviews may be performed on the basis of the additional criteria set in specific cases, as per Art. 1.

ARTICLE 3: AUDIT PROCESS

The audit process related to the determination of the nationality of companies will be as follows:

Upon approval of the audit plan by the Director of Resources Management and Industrial Matters, the company concerned will be informed by letter that the Agency wishes to conduct a nationality audit of the company and/or of certain work share contracted to the company.

The notification will recall the criteria against which the nationality will be judged, including additional evaluation elements (if needed), and will formalise the written information requested from the company.

Upon receipt of the information / documentation, ESA will inform the company if an on-site audit review is necessary. If such on-site audit review is considered required, therefore, interviews will be conducted with the appropriate management levels, such being arranged in close coordination with the company concerned.

Upon careful considerations of all relevant elements ESA will make its recommendation on the nationality(ies) to be considered for ESA industrial return purposes and on the relevant split and will substantiate its findings in a draft audit report.

The draft audit report will indicate the applicable date of its findings on the ESA industrial return statistics, and where relevant shall define the date for the retroactive implementation on ESA's industrial return statistics.

The audited company concerned will be requested to provide comments to the draft audit report within a period of 4 weeks after its release.

Based on its initial findings and the comments provided by audited company, ESA will finalise its report and implement follow-up actions where relevant.

In case the nationality of the company and/or the nationality aspects related to specific work packages and/or cost elements of ESA contracts awarded are not changed the ESA industrial return statistics will not be changed and the relevant delegation(s) will be informed accordingly.

In case the nationality of the company and/or the nationality aspects related to specific work packages and/or cost elements of ESA contracts awarded are changed, the company and the relevant delegation(s) will be informed accordingly prior to implementing the changes in the ESA industrial return statistics.

ESA will furthermore inform the company and the relevant delegation(s) of the possibility to appeal against the decision within one month of the notification by ESA of the decision to the firm. Such an appeal will be addressed to the IPC Chairman, copy to the Head of the Procurement Department.

In case no appeal is presented, the decision will be implemented at the end of the notification period.

In case an appeal is presented, the decision is deferred until the IPC, acting under the authority delegated to it by council, has pronounced its final decision.

ARTICLE 4: ENTRY INTO FORCE

The implementing instruction will enter into force on the date of its issuance.

ANNEX III

IMPLEMENTING INSTRUCTION CONCERNING THE EUROPEAN SPACE AGENCY'S PROCUREMENT REVIEW PROCEDURE

The Director General established this Implementing Instruction in accordance with Article 36, paragraph 7 of the Contracting Regulations. This Implementing Instruction has been approved by ESA's Industrial Policy Committee during its 348th meeting held on 27-28 June 2024 (ESA/IPC(2024)36,REV.4).

PART I: GENERAL PROVISIONS

ARTICLE 1: COMMUNICATIONS

All submissions, claims, decisions, recommendations, communications, and notifications provided for in this Implementing Instruction shall be made by electronic means through the Agency's electronic tool dedicated to tendering.

ARTICLE 2: ESTABLISHMENT OF THE AGENCY'S PROCUREMENT REVIEW SUPPORT ENTITY ("PRSE")

1. One or more staff members of the Agency (hereinafter referred to as "the Procurement Review Support Entity" or "PRSE") shall be designated to support the review process established in the Contracting Regulations. They shall not be staff of the Department in charge of contracts, nor of the Department in charge of legal affairs.
2. In the performance of its duties, the PRSE staff shall be independent and shall not be subject to instructions from its hierarchy.
3. The PRSE staff name(s) and contact details shall be made public.
4. The PRSE shall maintain a database containing the records of each case.

ARTICLE 3: EVIDENCE GATHERED BY OR SUBMITTED TO THE PRSE AND ACCESS

1. In order to gather any necessary evidence for the establishment of facts necessary for the reaching of a decision or a recommendation by the Head of the Department in charge of contracts, the Agency's Industrial Ombud or the Agency's Procurement Review Board, PRSE staff shall:
 - a) be given unrestricted access to all the Agency's proceedings and records of the procurements which are subject to review;
 - b) have the right to interview individuals participating on behalf of the Agency or in accordance with the provisions of an international agreement entered into by the Agency in the procurements under review. Should such a situation arise, the statements of the individual being interviewed shall be taken down by the PRSE staff and shall be signed by the individual interviewed; and,
 - c) have the right to request the claimant to produce all documents and to supply all information considered desirable for the conduct of the proceedings.
2. The claimant, the Agency's Industrial Ombud, the Procurement Review Board and the Agency shall have access to all evidence gathered by or submitted to the PRSE.

ARTICLE 4: CONFIDENTIALITY

If disclosure of information and documents in the review proceedings would impair the protection of the essential security interests of the Agency or its Member States, would be

contrary to law, would impede law enforcement, would prejudice the legitimate commercial interests of economic operators or would impede fair competition, the Board may decide to:

- a) hold a hearing *in camera* in accordance with Article 48, and
- b) require those present at the *in camera* hearing to sign a non-disclosure agreement, and/or
- c) request that the disclosing party redact the affected portions of the documents. Should such a situation arise, the Board shall not take the redacted information into account in its decision; and
- d) ensure that no such information or documents are disclosed in any decision or communication.

PART II: REVIEW BY THE HEAD OF THE AGENCY'S DEPARTMENT IN CHARGE OF CONTRACTS

ARTICLE 5: REFERRAL OF MATTERS

1. A claim shall be referred to the Head of the Department in charge of contracts within the time limits set out under Article 37 of the Contracting Regulations.
2. In circumstances beyond the claimant's control, however, the Head of the Department in charge of contracts shall admit claims brought after the time limits set out in Article 37 of the Contracting Regulations.

ARTICLE 6: FORM AND LANGUAGE OF THE REFERRAL

1. A claim shall be referred to the Head of the Department in charge of contracts in writing, either in English or in French, using the standard form established to that effect and published on the Agency's electronic tool dedicated to tendering³, giving the subject matter of the dispute and a summary of the grounds on which the claim is based.
2. The language chosen by the claimant pursuant to paragraph 1 shall constitute the language of the proceedings.

ARTICLE 7: SUPPORTING DOCUMENTS

1. When presenting the claim, the claimant shall produce any documentary evidence they may have, and, if available, the contested decision, as well as any of the decisions or recommendations, whether made before or after the contested decision.
2. Should the claim be insufficiently precise, the PRSE shall contact them and take down their statement in writing in order to define the subject matter of the claim. These statements shall then be signed by the claimant.

ARTICLE 8: WITHDRAWAL OF THE CLAIM

1. Once a claim is referred to the Head of the Department in charge of contracts in the form prescribed under Article 6, the claimant may withdraw that claim in writing at any time.
2. The Head of the Department in charge of contracts shall accept the withdrawal.

³ Available on ESA-STAR under the section "Supporting Documentation – Reference Documentation – Administrative Documents - Instructions for claimants in the frame of the Review Procedure under the Contracting Regulations of the European Space Agency".

ARTICLE 9: POWERS OF THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

1. Within the period for reaching the decision set out in Article 38, paragraph 4 of the Contracting Regulations, the Head of the Department in charge of contracts shall have the right to:
 - a) call for a meeting with the claimant in order to resolve the claim by mutual agreement. Should such a situation arise, the minutes of the meeting shall be taken down by the PRSE and shall be signed by the participants at the end of the meeting;
 - b) call for a meeting with the claimant for the sole purpose of establishing any facts that may assist the Head of the Department in charge of contracts in their decision. Should such a situation arise, the minutes of the meeting shall be taken down by the PRSE and shall be signed by the participants at the end of the meeting;
 - c) request the PRSE in writing to hold a meeting with the claimant for the sole purpose of establishing any facts that may assist the Head of the Department in charge of contracts in their decision. Should such a situation arise, the minutes of the meeting shall be taken by the PRSE and shall be signed by the participants at the end of the meeting;
 - d) request in writing that the PRSE conduct within the Agency any investigation, information gathering or hearing of witnesses for the establishment of facts that may assist the Head of the Department in charge of contracts in their decision, and
 - e) request through the PRSE that the claimant produce any documents and supply any information which the Head of the Department in charge of contracts considers may assist them in their decision. Where the claimant refuses to produce or supply such information, they shall provide the reasons for such refusal in writing to the PRSE, who shall record the refusal in the review file and communicate it to the Head of the Department in charge of contracts.
2. Further to paragraph 1 the Head of the Department in charge of contracts, based on the facts in their possession, may:
 - a) by delegation from the Director General, take all interim measures, including the suspension of the procurement process under review in accordance with Article 36 of the Contracting Regulations, for procurement actions below 20,000,000 (twenty million) euros;
 - b) propose to the Director General interim measures, including the suspension of the procurement process under review in accordance with Article 36 of the Contracting Regulations, for procurement actions of at least 20,000,000 (twenty million) euros.
3. Any decision by the Director General not to follow the proposal for an interim measure made by the Head of the Department in charge of contracts pursuant to paragraph 2.b) shall in no case constitute the basis for a further claim by the claimant.
4. Where pursuant to paragraph 2 or for any other reason, the Director General or the Head of the Department in charge of contracts, in order to reach a decision, suspend the procurement process under review for a given period, the 15 (fifteen) calendar day

period provided for under Article 38, paragraph 4 of the Contracting Regulations shall be automatically suspended by the same period of time.

ARTICLE 10: DECISION BY THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

1. The decision shall be signed by the Head of the Department in charge of contracts, and issued in writing to the claimant, and shall state the reasons, facts and the applicable rules of the Agency on which it is based.
2. A copy of the decision shall be kept in the files of the PRSE.

ARTICLE 11: COMMUNICATION OF THE DECISION OF THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

The Head of the Department in charge of contracts shall communicate the decision for information to the Chair of the Industrial Policy Committee, for procurement actions which have been or should be the subject of a submission to the Industrial Policy Committee in accordance with the Contracting Regulations.

ARTICLE 12: COST OF PROCEEDINGS

The parties shall in all cases bear their own costs.

ARTICLE 13: APPEAL AGAINST THE DECISION OF THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

1. Pursuant to Article 38, paragraph 7 of the Contracting Regulations, within 10 (ten) calendar days of receiving the decision of the Head of the Department in charge of contracts, the claimant may challenge this decision and submit the ensuing claim to the Agency's Industrial Ombud.
2. Upon receipt of the claim, the PRSE shall immediately compile a case file containing all supporting documents in its possession pertaining to the case under review and shall communicate it to the Agency's Industrial Ombud.
3. The Head of the Department in charge of contracts shall communicate for information the claimant's decision to challenge the decision to the Chair of the Industrial Policy Committee, for procurement actions which have been or should be the subject of a submission to the Industrial Policy Committee in accordance with the Contracting Regulations.

PART III: REVIEW BY THE AGENCY'S INDUSTRIAL OMBUD

ARTICLE 14: COMPETENCE OF THE AGENCY'S INDUSTRIAL OMBUD

Pursuant to Article 39, paragraph 1 of the Contracting Regulations, the Agency's Industrial Ombud is competent to entertain claims submitted in application of Article 38, paragraphs 2, 5 and 7 of the Contracting Regulations.

ARTICLE 15: TIME LIMITS AND SUSPENSION OF TIME LIMITS FOR THE EXAMINATION OF CASES BY THE OMBUD

1. Pursuant to Article 39, paragraph 3 of the Contracting Regulations, the Ombud shall, within 15 (fifteen) calendar days of receiving the claim or 25 (twenty-five) calendar days, when the claim is made after contract award, issue a written recommendation to the Head of the Department in charge of contracts.
2. Where, pursuant to Article 20, paragraph 2, or for any other reason, the Director General or the Head of the Department in charge of contracts suspend the procurement process under review for a given period, the periods set out under paragraph 1 shall be automatically suspended by the same period of time.
3. When the suspension period ends, the periods set out under paragraph 1 shall resume and the Ombud shall issue their written recommendation to the Head of the Department in charge of contracts within the remaining time period.

ARTICLE 16: REFERRAL OF MATTERS

1. A claim shall be referred to the Ombud within the time limits set out in Articles 37 and 38 of the Contracting Regulations.
2. In circumstances beyond the claimant's control, however, the Ombud shall admit claims brought after the time limits set out in Articles 37 and 38 of the Contracting Regulations.

ARTICLE 17: FORM OF THE REFERRAL

A matter shall be referred to the Ombud in writing, using the standard form established to that effect and published on the Agency's electronic tool dedicated to tendering⁴, addressed to the Ombud with copy to the Head of the Department in charge of contracts, giving the subject matter of the dispute, and a summary of the grounds on which the claim is based.

⁴ Available under the section "Supporting Documentation – Reference Documentation – Administrative Documents - Instructions for claimants in the frame of the Review Procedure under the Contracting Regulations of the European Space Agency".

ARTICLE 18: SUPPORTING DOCUMENTS

1. When presenting the claim to the Ombud, the claimant shall produce any documentary evidence they may have, and, if available, the text of the contested decision, as well as any of the decisions or recommendations, whether made before or after the contested decision.
2. In the absence of a decision, the claimant must produce a copy of the original claim which they had sent to the Head of the Department in charge of contracts.
3. Should the claimant's petition be insufficiently precise, the Ombud shall contact them and take down their statements in writing in order to define the subject matter of the claim. These statements shall then be signed by the claimant.

ARTICLE 19: WITHDRAWAL OF THE CLAIM

1. Once a claim is referred to the Ombud in the form prescribed under Article 17, the claimant may withdraw it in writing at any time, even after the Ombud's recommendation to the Head of the Department in charge of contracts made pursuant to Article 21.
2. The Head of the Department in charge of contracts shall accept the withdrawal, provided that it is unconditional.

ARTICLE 20: POWERS OF THE AGENCY'S INDUSTRIAL OMBUD

1. Within the period for reaching their recommendation, the Ombud shall have the right to:
 - a) call for a meeting with the claimant and the Head of the Department in charge of contracts in order to resolve the claim by mutual agreement. Should such a situation arise, minutes of the meeting shall be taken by the Ombud and shall be signed by the participants at the end of the meeting;
 - b) request the PRSE in writing that they hold a meeting with the claimant and/or the Head of the Department in charge of contracts for the sole purpose of establishing any facts that may assist the Ombud in their recommendation. Should such a situation arise, minutes of the meeting shall be taken by the PRSE and shall be signed by the participants at the end of the meeting and communicated to the Ombud;
 - c) request the PRSE in writing that they conduct within the Agency any investigation, information gathering or hearing of witnesses for the establishment of facts that may assist the Ombud in formulating their recommendation, and
 - d) request the claimant and/or the Head of the Department in charge of contracts, through the PRSE, that they produce any documents and supply any information which the Ombud considers may assist them in formulating their recommendation.

Where the claimant and/or the Head of the Department in charge of contracts refuses to produce or supply such information or documents, they shall provide the reasons for

their refusal in writing to the Ombud and to the PRSE, who shall record the refusal in the review file.

2. Further to paragraph 1, the Ombud, based on the facts in their possession, may, pursuant to Article 36, paragraph 6 of the Contracting Regulations:
 - a) propose in writing to the Head of the Department in charge of contracts, acting under delegation from the Director General, to take all interim measures, including the suspension of the procurement process under review, for procurement actions below 20,000,000 (twenty million) euros,
 - b) propose in writing to the Director General interim measures, including the suspension of the procurement process under review, for procurement actions of at least 20,000,000 (twenty million) euros.
3. The proposal under paragraph 2.b) shall be communicated to the Head of the Department in charge of contracts with copy to the PRSE.
4. Any decision by the Head of the Department in charge of contracts or the Director General not to act upon the proposal for an interim measure by the Ombud shall in no case constitute the basis for a further claim by the claimant.

ARTICLE 21: RECOMMENDATION BY THE OMBUD

1. The recommendation by the Ombud shall contain the information required under Article 39, paragraph 3.a) and b) of the Contracting Regulations and shall state the reasons, facts and the applicable rules of the Agency on which it is based.
2. The recommendation shall be signed and issued in writing to the claimant, and to the Head of the Department in charge of contracts.
3. A copy of the recommendation shall be kept in the files of the PRSE.

ARTICLE 22: TIME LIMITS AND SUSPENSION OF TIME LIMITS FOR THE DECISION BY THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

1. Pursuant to Article 39, paragraph 4 of the Contracting Regulations, the Head of the Department in charge of contracts shall, within 15 (fifteen) calendar days of receiving the recommendation of the Ombud, issue a written decision to the claimant and to the Ombud.
2. Where the Director General or the Head of the Department in charge of contracts, in order to reach a decision, suspend the procurement process under review for a given period, the period set out in paragraph 1 shall be automatically suspended by the same period of time.

When the suspension period ends, the period provided for in paragraph 1 shall resume and the Head of the Department in charge of contracts shall issue their written decision to the claimant and the Ombud within the remaining time period.

ARTICLE 23: POWERS OF THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

1. Further to the powers established under Article 9, the Head of the Department in charge of contracts, in order to reach their decision, shall have the right to call for a meeting with the claimant and the Ombud, in order to resolve the claim by mutual agreement. Should such a situation arise, minutes of the meeting shall be taken by the Ombud and shall be signed by the participants at the end of the meeting and copied to the PRSE.
2. Any decision by the Director General not to act upon the proposal for an interim measure made by the Head of the Department in charge of contracts shall in no case constitute the basis for a further claim by the claimant.

ARTICLE 24: FINAL DECISION BY THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

1. The decision of the Head of the Department in charge of contracts shall be signed and issued in writing to the claimant and to the Ombud and shall state the reasons, facts and the applicable rules of the Agency on which it is based.
2. A copy of the decision shall be kept in the files of the PRSE.

ARTICLE 25: COMMUNICATION OF THE FINAL DECISION OF THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

The Head of the Department in charge of contracts shall communicate the final decision, together with the recommendation by the Ombud, for information to the Chair of the Industrial Policy Committee, for procurement actions which have been or should be the subject of a submission to the Industrial Policy Committee in accordance with the Contracting Regulations.

ARTICLE 26: COST OF PROCEEDINGS BEFORE THE OMBUD

The parties shall in all cases bear their own costs.

ARTICLE 27: CHALLENGE AGAINST THE FINAL DECISION OF THE HEAD OF THE DEPARTMENT IN CHARGE OF CONTRACTS

1. Upon receipt of the claim referred to in Article 39 paragraph 6 of the Contracting Regulations, the PRSE shall immediately compile a case file containing all supporting documents in their possession pertaining to the case under review and shall communicate it to the Chair of the Procurement Review Board (hereinafter referred to as “the Board”).
2. The Head of the Department in charge of contracts shall communicate for information, the claimant’s decision to challenge the decision to the Director General and to the

Chair of the Industrial Policy Committee, for procurement actions which have been or should be the subject of a submission to the Industrial Policy Committee in accordance with the Contracting Regulations.

PART IV: ESTABLISHMENT OF THE PROCUREMENT REVIEW BOARD

ARTICLE 28: PROCUREMENT REVIEW BOARD COMPETENCE

1. In application of Article 40 of the Contracting Regulations, there shall be set up a Procurement Review Board, independent of the Agency, to hear disputes relating to a decision taken by the Agency in application of Article 39, paragraph 4 of the Contracting Regulations.
2. Recourse to the Board shall not be admissible until the procedures provided for in Articles 38 and 39 of the Contracting Regulations have been exhausted.
3. In accordance with Article 36, paragraph 6 of the Contracting Regulations, the Board may propose interim measures to the Director General.
4. Any decision by the Director General not to act upon the proposal for an interim measure made by the Board shall in no case constitute the basis for a further claim by the claimant.
5. The Board shall also be competent to settle disputes concerning its jurisdiction, as defined in the Contracting Regulations and this Implementing Instruction, or any question of procedure.

ARTICLE 29: NOMINATION

1. Before taking up duties, each member of the Board shall take an oath in Council to perform their duties impartially and conscientiously and to preserve the secrecy of the Board's deliberations.
2. The detailed terms of nomination shall be laid down in a letter of appointment to be signed by the Chair of Council and the Board member.

ARTICLE 30: RESIGNATION, DISMISSAL – NOMINATION OF A SUCCESSOR

1. Should a member of the Board resign before the expiry of the period for which they were nominated, the letter of resignation shall be addressed to the Chair of Council and to the authority which originally designated them for nomination in application of Article 40, paragraph 3 of the Contracting Regulations.
2. This notification shall constitute vacation of office; however, the member of the Board concerned may be required to continue in office until their successor has taken up their duties.
3. A decision to dismiss a member of the Board from office may only be taken by Council upon a unanimous recommendation by all the other members of the Board.
4. The successor of the resigning or dismissed member of the Board shall be nominated by Council upon proposal by the authority which originally designated them for nomination in application of Article 40, paragraph 3 of the Contracting Regulations.

5. The successor shall be nominated for the same period(s) established under Article 40, paragraph 3 of the Contracting Regulations.

ARTICLE 31: CHAIRING FUNCTIONS

1. The members of the Board shall, every 2 (two) years, designate from among them a Chair and Deputy Chair.
2. The Chair shall ensure observance of the rules of procedure and shall establish the agenda of the Board's meetings. In the absence of the Chair, their duties shall be exercised by the Deputy Chair; should such a situation arise, unless otherwise stated, all references herein to the Chair shall be construed as references to the Deputy Chair.
3. Should the Chair resign or be dismissed prior to the expiry of the period for which they were designated in this function, the Deputy Chair shall automatically become Chair for the period of time remaining up to the expiry of the nominal period of chairship of the outgoing Chair.
4. Where the Deputy Chair resigns or is dismissed prior to the expiry of the period for which they were designated in this function, or where the Deputy Chair becomes Chair in accordance with paragraph 3, the other members of the Board shall designate one from among their remaining number as Deputy Chair for the period of time remaining up to the expiry of the nominal period of deputy chairship of the outgoing Deputy Chair.

ARTICLE 32: FACILITIES – OFFICIAL SEAT

1. The Agency shall provide for all necessary facilities in order to ensure the functioning of the Board, including for English and French translation and interpretation services.
2. The Board shall have as its official seat the Agency's Headquarters; it may meet at other places, if necessary.

ARTICLE 33: ACCESS BY THE PROCUREMENT REVIEW BOARD TO THE PRSE

1. Pursuant to Article 3, the Board shall have the right to require the support of the PRSE at any time, provided such support is not incompatible with the rules established under this Implementing Instruction.
2. The Board shall be given unrestricted access to all evidence gathered by or submitted to the PRSE either prior or subsequent to the submission of the claim to the Board.

PART V: RULES OF PROCEDURE OF THE PROCUREMENT REVIEW BOARD

ARTICLE 34: SESSIONS

1. The sessions of the Board shall be convened by the Chair, bearing in mind the need to take decisions within the time frame established under Article 40, paragraph 9 of the Contracting Regulations.
2. In order to avoid any vacancy within the Board, its members shall, under the authority of the Chair, arrange among themselves for the permanent availability of at least 3 (three) members, including the Chair, at any given time.

ARTICLE 35: CONVENING

The Board shall be convened by its Chair, who shall determine the agenda for the hearing and the place of the hearing, usually its official seat.

ARTICLE 36: NOTICE OF HEARING

The date of the hearing shall be communicated by the Chair to the Head of the Agency's Department in charge of legal affairs and to the claimant, at least 7 (seven) calendar days beforehand.

ARTICLE 37: CONSTITUTION FOR A GIVEN CASE

1. For the examination of a given case, the Board shall not be validly constituted unless at least 3 (three) members are present, including the Chair.
2. These same members shall take part in all deliberations and decisions concerning a given case.

ARTICLE 38: CONFLICT OF INTERESTS

1. A member of the Board may not participate in the settlement of any case in which they have previously participated as the representative, counsel or advocate of one of the parties or on which they have been called upon to decide as a member of a tribunal or in any other capacity. Should such a situation arise, either party may ask for a change in the composition of the Board. For this purpose, prior to taking up duties in a case, each member of the Board shall sign a declaration of non-interest in the case.
2. A party may not request a change in the Board's composition on the grounds of a member's nationality but may request such a change on account of alleged partiality; in the event of such a request being made, the Board shall take a decision in the absence of the member concerned.

ARTICLE 39: PRE-JUDICIAL DECISIONS

Where necessary, the Board shall, before examining a claim submitted to it, rule on any objections concerning its own composition.

ARTICLE 40: REFERRAL OF MATTERS

1. In the absence of a decision by the Head of the Department in charge of contracts within the time limits set under Article 39, paragraph 4 of the Contracting Regulations, the time limit laid down under Article 39, paragraph 6 of the Contracting Regulations shall be brought to 15 (fifteen) calendar days following the last calendar day by which the written decision provided for under Article 39, paragraph 4 of the Contracting Regulations should have been notified to the claimant.
2. In the absence of a recommendation by the Agency's Industrial Ombud within the time limits set out under Article 39 paragraph 3 of the Contracting Regulations, the time limit set under Article 39 paragraph 6 of the Contracting Regulations shall be brought to 15 (fifteen) calendar days following the last calendar day by which the written recommendation provided for under Article 39, paragraph 3 of the Contracting Regulations should have been notified to the claimant and the Head of the Department in charge of contracts.
3. In circumstances beyond the claimant's control, however, the Board may admit claims submitted after the time limits laid down in Article 39, paragraph 6 of the Contracting Regulations.

ARTICLE 41: FORM OF THE REFERRAL

1. The claim shall be referred to the Board in writing, using the standard form established to that effect, and published on the Agency's electronic tool dedicated to tendering⁵, addressed to the Chair of the Board, giving the subject matter of the dispute and a summary of the grounds on which the claim is based.
2. The claim shall be accompanied by the written decision which is challenged, unless the claim is based on Article 40, paragraph 1, together with the decision taken by the Head of the Department in charge of contracts in application of Article 38, paragraph 4 of the Contracting Regulations, if any, and/or the recommendation provided for under Article 39, paragraph 3 of the Contracting Regulations, unless in the case of the latter, the claim is based on Article 40, paragraph 2.

ARTICLE 42: SUPPORTING DOCUMENTS

1. When submitting the claim, the claimant shall produce any documentary evidence they may have together with the documents referred to in Article 41, paragraph 2.

⁵ Available under the section "Supporting Documentation – Reference Documentation – Administrative Documents - Instructions for claimants in the frame of the Review Procedure under the Contracting Regulations of the European Space Agency"

2. In the absence of a decision, the claimant must produce a copy of the claim they had sent to the competent authority pursuant to Article 38 and/or Article 39 of the Contracting Regulations.
3. Should the claim be insufficiently precise, the Chair of the Board shall contact the claimant and take down their statements in writing in order to define the subject matter of the claim. These statements shall then be signed by the claimant.

ARTICLE 43: WITHDRAWAL OF THE CLAIM

1. Once a claim has been submitted to the Board in the prescribed form, the claimant may withdraw it either in writing at any time before the date of the hearing provided for under Article 48, or orally, during the hearing. Withdrawal of a claim is not admissible once the hearing has been closed.
2. The Chair of the Board shall accept the withdrawal, provided that it is unconditional and that the Agency, having been duly informed by the Chair of the Board of the withdrawal request, has not raised any written objection prior to the hearing or orally during the hearing.

ARTICLE 44: EVIDENCE SUBMITTED TO THE BOARD AND ACCESS

1. The Chair of the Board may request that the parties produce all documents and supply all information which they consider desirable for the proceedings.
2. The Chair of the Board may furthermore at any time nominate a person or body of its own choice to conduct an expert study.
3. Such an expert shall, prior to accepting this assignment, be required to make a written declaration stating the absence of any known or potential conflict of interests. The expert may not be a staff member of the Agency, unless the parties agree to this in writing upon proposal by the Chair of the Board.
4. The parties shall have access to all evidence submitted to the Board.

ARTICLE 45: STATEMENT OF DEFENCE BY THE AGENCY

The claim and the accompanying documents shall be transmitted immediately to the Head of the Agency's Department in charge of legal affairs, who shall submit the statement of defence by the Agency within 7 (seven) calendar days of the submission of the claim. When the claim is made after Contract award, this period shall be of 15 (fifteen) calendar days.

ARTICLE 46: REPRESENTATION OF THE PARTIES BEFORE THE BOARD

1. The Agency shall be represented by its Department in charge of legal affairs and any other staff it deems necessary to assist before the Board.
2. The list of the parties' designated representative(s) shall be communicated in writing to the Board not later than 5 (five) calendar days prior to the date of the hearing.

ARTICLE 47: PERSONAL APPEARANCE – REPRESENTATION AND ASSISTANCE

1. While the parties may be represented or assisted by an advocate or counsel, the Board may invite both parties to appear before it in person.
2. Appearance before the Board of the parties, their representative(s), counsel or advocate shall only be in person as no other form (e.g. teleconferencing, video conferencing, etc.) is authorised, unless such absence is due to events outside the control of the party concerned and evidence of these compelling circumstances is produced. Should such a situation arise, the Board shall, on the basis of such evidence, decide either to accept other forms of appearance or to postpone the hearing to another date.

ARTICLE 48: HEARING**Conduct of the hearing**

1. The parties shall be entitled to a hearing. On request of a party and with the agreement of the other party, the Board may decide whether a case may be decided on the basis of the written submissions without a hearing.
2. The Chair shall be responsible for conducting the hearing.
3. The hearing shall be public, unless the Board *ex officio* or at the request of one of the parties shall, for the reasons set out in Article 4, decide to hold the hearing *in camera* either fully or partially.
4. The Board and the parties to the hearing may be assisted, if necessary, by an interpreter.

Oral statements and final oral submissions

5. Either party or its representative(s), counsel or advocate, shall have the right to adduce verbally any argument in support of the pleas advanced in the claim or in the statement of defence.
6. Prior to closing the hearing, the Board shall allow each party the opportunity to make a final oral submission.

Hearing in absentia

7. Should a party and its representative(s), counsel or advocate fail to appear before the Board without producing the evidence called for under Article 47, paragraph 2, the Board shall hold the hearing *in absentia*, provided that the absent party has been duly notified of the date of the hearing.
8. Should both parties and their representatives, counsels or advocates be absent under the aforementioned conditions, the Board shall close the hearing and proceed with the delivery of the decision.

Hearing of witnesses

9. Either party may propose to the Board to call witnesses and may submit other appropriate forms of evidence.
10. Staff members of the Agency, if requested by the Board, shall appear before it and give evidence.
11. A witness shall not be bound to disclose information to the Board if they have professional or moral objections which are acceptable to the Board in accordance with the general principles of law.
12. Before each witness is heard, the Chair shall require of them an undertaking to answer fully and accurately any questions put to them. Where appropriate, the Chair shall draw attention to the fact that all those attending hearings *in camera* are bound to secrecy, or to the obligation placed on staff members of the Agency to give any information required of them.
13. Minutes shall be kept of each hearing of witnesses of the parties and shall be signed by the witnesses and by the members of the Board who took part in the hearing of the witnesses.

Powers of the Chair between sessions

14. Between sessions of the Board, the Chair shall give interim decisions concerning any measures which have been requested for the sole purpose of establishing any facts that may assist the Board in its decision. As far as possible, both parties to the claim should be heard, and a report made to the Board in writing.

Establishment of facts – Report

15. If necessary, and should the Board so decide, any investigation or hearing of witnesses may be conducted by its members with the administrative support of the PRSE. Proceedings for the establishment of facts under this paragraph shall, so far as possible, give a hearing to both parties; a written report shall be made to the Board.

ARTICLE 49: DELIBERATIONS OF THE BOARD

1. Once the Chair has closed the hearing, the Board shall deliberate on its decision.
2. The Board's deliberation shall be held out of the presence of either party or of any other person. Nonetheless, the Board may require the assistance of interpreters; should that situation arise, the Chair shall draw their attention to the fact that they are bound to secrecy.

ARTICLE 50: DECISIONS BY THE BOARD

1. The decision of the Board shall be made by simple majority. Should the Board consist of an even number of members, the Chair shall have the casting vote in the event of a tie.
2. The decision without reasoning shall be communicated to the parties within the time limits set out under Article 40, paragraph 9 of the Contracting Regulations. The decision

shall be dated and shall bear the signature and names of the members of the Board who took part in the deliberations.

3. The reasoned decision giving the full text of the grounds considered by the Board and covering all the relevant facts and legal arguments put forward by the parties, certified by the Chair, shall be communicated to the parties within 15 (fifteen) calendar days of the expiration of the time limits set out under Article 40, paragraph 9 of the Contracting Regulations.
4. The Board may decide to communicate the reasoned decision referred to in paragraph 3 within the time limits set out under Article 40, paragraph 9 of the Contracting Regulations.

ARTICLE 51: COMMUNICATION OF THE DECISIONS OF THE BOARD

1. The Chair shall communicate the Board's reasoned decision as provided for under Article 50, paragraph 3 to the Director General of the Agency and to the Agency's Industrial Ombud within the time period laid down in that Article.
2. It shall also be communicated by the PRSE to the Chair of the Industrial Policy Committee.
3. Certified true copies of the Board's reasoned decision as provided for under Article 50, paragraph 3 shall be sent to the Head of the Agency's Department in charge of legal affairs and to the claimant within 15 (fifteen) calendar days following the day the decision provided for under Article 50, paragraph 3 was communicated as set out in that Article.
4. The reasoned decision of the Board referred to in Article 50, paragraph 3 shall be made public by the PRSE on the Agency's media once the certified true copies referred to under Article 51, paragraph 3 have been sent to the parties, in accordance with the provisions of the Agency's data protection framework.
5. Nevertheless, the Board may decide that a decision shall only be made public with the name of the claimant, or any other person mentioned therein, including that of members of the Board who took part in the deliberations, deleted.

ARTICLE 52: COST OF PROCEEDINGS

Agency's costs

1. The Agency shall bear its own costs, as well as the cost of interpretation as provided for under Article 48, paragraph 4, and any expert study commissioned pursuant to Article 44, paragraph 2, unless the Board finds that the claimant was not acting in good faith.
2. Should the Board find that the claimant was not acting in good faith, the costs incurred by the Agency shall be borne in full by the claimant.

Claimant's costs

3. Where the decision of the Board does not uphold the claim, the claimant shall bear its own incurred costs, including travel and subsistence expenses.
4. Where the decision of the Board upholds the claim in all or in part, the costs necessarily incurred by the claimant in the course of the review proceedings shall be deemed incurred by the Agency, in all or in part, within the limit of 120,000 (one hundred and twenty thousand) euros for compensation laid down under Article 41 of the Contracting Regulations.
5. In all cases, the claimant must present a detailed claim for compensation to the Board not later than 5 (five) calendar days prior to the date set for the hearing.

ARTICLE 53: APPEAL AGAINST THE DECISION OF THE BOARD

1. No appeal shall be possible against the decision of the Board, which shall be final and binding on the parties.
2. However, the Board may be requested by either party to interpret a decision, should difficulties arise as to the meaning or scope of that decision.
3. The Board may be requested by either party to review a decision if a fact of decisive importance comes to the attention of the Board and of that party within a period of 12 (twelve) months following the delivery of that decision.
4. No request for review may be made by a party after the expiry of a period of 30 (thirty) calendar days following the discovery of the fact mentioned under paragraph 3.
5. Any request for interpretation or review shall be submitted to the Chair. If the Chair considers that this request clearly amounts to a claim against a decision of the Board and is not a request for interpretation or review, they may, after consulting the members of the Board who would be called upon to deal with the matter and provided none of them objects in writing, deliver a reasoned decision stating the request to be inadmissible. There shall be no claim against this decision.
6. Subject to the above provision, the procedure for review shall commence with a decision of the Board formally declaring that a new fact exists, that it is of a character which justifies the review, and that the request for review is admissible for that reason.
7. Clerical and arithmetical mistakes in the decision, or any accidental error or omission, may be corrected by the Board, either on its own initiative or upon application by either party.

ARTICLE 54: AMENDMENTS TO THE IMPLEMENTING INSTRUCTION

This Implementing Instruction may be amended by the Industrial Policy Committee either:

- a) on the unanimous recommendation of the Procurement Review Board, after consultation with the Head of the Agency's Department in charge of legal affairs, for any amendments to Part IV (Establishment of the Procurement Review Board) and to Part V (Rules of Procedure of the Procurement Review Board); or,
- b) on the recommendation of the Agency's Director General.